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Hallmark Management Service, Inc.

Valuation of the Fair Market Value of a 50.0 Percent Interest in Equity on a Non-Marketable, Non-Controlling Interest Basis

As of June 30, 2021

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December 16, 2021

Mr. Tom Walters and Mr. Bryan West
Hallmark Management Service, Inc.
2323 W. 5th Avenue, Suite 140
Columbus, OH 43204

Re: Valuation Services Related to Hallmark Management Service, Inc.

Dear Tom and Bryan:

At your request, we have analyzed the financial and organizational information made available to us for Hallmark Management Service, Inc., for the purpose of developing our professional opinion as to the fair market value of a 50.0 percent interest in equity on a non-marketable, non-controlling interest basis as of June 30, 2021. It is our understanding that this valuation will be used for management planning and stock transaction purposes and will be used for no other purpose.

This report is subject to the Statement of Assumptions and Limiting Conditions and the Certifications in Appendices A and B. Qualifications of the valuation expert are also presented in Appendix C.

Based on our analysis, and subject to the accuracy and completeness of the information provided, as well as the reasonableness of assumptions and estimates required, it is our opinion that the fair market value of a 50.0 percent interest in the equity of Hallmark Management Service, Inc. on a non-marketable, non-controlling interest basis, as of June 30, 2021, was:

\$1,431,800 (rounded)

One Million Four Hundred Thirty One Thousand Eight Hundred Dollars

Report Letter

The discussion following this letter, as well as the schedules presented throughout this report, reflects details of our analysis, computations, and conclusion and should be read in conjunction with this letter. We appreciate the opportunity to be of assistance to you. Please do not hesitate to call if you have any questions regarding the above or need additional assistance in this matter.

PLANTE & MORAN, PLLC

A handwritten signature in black ink, appearing to read "Jesse Richardson". The signature is fluid and cursive, with a large initial "J" and a long, sweeping underline.

Jesse L. Richardson, ASA, CFE
Partner

Executive Summary

Executive Summary

Valuation Assignment

Plante & Moran, PLLC has been engaged by Hallmark Management Service, Inc., to determine the fair market value of a 50.0 percent interest in the equity of Hallmark Management Service, Inc. (“HMS” or the “Company”) on a non-marketable, non-controlling interest basis (the “Subject Interest”) as of June 30, 2021 (the “Valuation Date”). The purpose of this report is the development, explanation, and presentation of the opinion of value. The attached certification and qualification, statement of assumptions and limiting conditions, and schedules are integral parts of this valuation opinion. The conclusion derived as a result of this engagement will be utilized for management planning and stock transaction purposes and should not be used for any other purpose.

Standard of Value

Fair market value is defined as the price at which property would change hands between a hypothetical willing buyer and a hypothetical willing seller, both being adequately informed of the relevant facts and neither being under any compulsion to buy or to sell. Internal Revenue Service Revenue Ruling 59-60 generally outlines approaches and methodologies for the valuation of closely-held stock for estate, gift, and income tax purposes, and recommends consideration of various factors, including:

- The nature of a company’s business and its history since its inception;
- The outlook for the economy in general and the company’s industry in particular;
- The financial condition of the company and the value of its underlying net assets;
- The past earnings and future earning capacity of the company;
- Prior transactions of the company’s stock and the size of the block to be valued;
- The ability of the company to distribute earnings;
- Whether the company has goodwill or other intangible value; and
- The price of stock actively traded in a free and open market for comparable companies in the same or similar line of business.

The number and nature of factors relevant to the valuation of interests in closely held companies are not identical in all valuations. In conducting our valuation, we considered those elements we deemed appropriate, weighing the above factors in accordance with our estimate of their proportionate relevance and importance.

Executive Summary

Valuation Date

The result of this analysis is our opinion of value as of June 30, 2021. We have requested and analyzed financial data up to and including the Valuation Date and have made inquiries into material subsequent events that may have been known or knowable at the Valuation Date.

Assumptions and Limiting Conditions

The valuation is subject to the Statement of Assumptions and Limiting Conditions set forth on Appendix A. These assumptions and limiting conditions are an integral component in understanding the value conclusion.

Valuation Certification and Qualification

This engagement was performed in compliance with the Uniform Standards of Professional Appraisal Practice as promulgated by the Appraisal Foundation, the Principles of Appraisal Practice and Code of Ethics promulgated by the American Society of Appraisers, and in accordance with Statement on Standards for Valuation Services issued by the American Institute of Certified Public Accounts. The valuation professional's signed certifications are provided in Appendix B.

Sources of Information

The following principal sources of information were relied upon to arrive at our conclusion.

- Reviewed financial statements for the fiscal years ended June 30, 2017 to 2020 prepared by Joseph R. Weaver, CPA;
- Reviewed financial statements for the fiscal year ended June 30, 2021 prepared by Frush Consulting, LLC;
- Management prepared projections for the fiscal years ending June 30, 2022 through 2028;
- Hallmark Management Service, Inc. Operating Agreement, dated January 2, 2007;
- The Company's Organization Chart, dated October 22, 2019;
- Various other Hallmark Management Service, Inc. legal, financial, and operational documents;
- Standard & Poor's Capital IQ Database;

Executive Summary

- Duff & Phelps Cost of Capital Navigator;
- Publicly available data on studies related to discounts for lack of marketability;
- The Food Service Contractors industry report prepared by IBISWorld, dated January 1, 2021;
- The National Economic Review for the second quarter of 2021; and
- Responses received in interviews with management regarding the history, operations, and future prospects of the Company.

Conclusion

Based on the data, information, and analysis presented in the report, it is our opinion that as of June 30, 2021, the fair market value of the Subject Interest was:

\$1,431,800 (rounded)

One Million Four Hundred Thirty One Thousand Eight Hundred Dollars

In making the above determination, we considered the various valuation methods within the market-based approach, the income-based approach, and the asset-based approach. After analyzing the specific facts and circumstances, we used an income-based approach.

Company Overview

Company Overview

Background

Hallmark Management Service, Inc. was founded in 1971, and is organized as a C-Corporation in Columbus, Ohio. The Company specializes in providing on-site food service programs for educational, senior living, and workplace facilities. In addition to food preparation and dining programs, the Company provides services to enhance the entire dining experience. This includes professional training and development for staff, facility and concept design to enhance the dining environments, and financial accountability to help clients create a sustainable financial program and budget. The Company works within a unique market with their top clients and main sources of revenue coming from small liberal arts colleges. HMS utilizes a customer-centric approach to find solutions, allowing the Company to fit each client's specific needs.

Facilities

The Company's headquarters are located in an 18,000 square foot facility in Columbus, Ohio. The facility houses the corporate offices, executive team, and a state-of-the-art production and culinary center. The building is centrally located, just a mile outside of downtown Columbus and has easy access to all the main highways.

Products and Services

- Flexible Dining Programs – The Company will design programs that support individual client needs with regard to organization culture, on-site service requirements, available budget parameters within existing facility infrastructure.
- Staff Development – HMS believes in recruiting and developing staff that align with the values of the Company. Critical 30-60-90-day reviews are completed as part of on-boarding to assure the correct and appropriate fit not only within the organization, but also the client site.
- Innovative Facility Design Services – By working with clients, HMS' team of professional designers and brand experts will create and build-out the optimal dining experience for clients.
- Financial Accountability – HMS is focused on success in all parts of the business and work with clients to build sound financial programs with accurate forecasts and budgets they can rely on.

Company Overview

Core Values

- Honest – The Company believes that relationships are the foundation for providing clients with outstanding services. Honesty is the cornerstone value for HMS because client relationships are built on trust.
- Hardworking – HMS focuses on doing whatever it takes to exceed expectations. The Company's employees are hardworking and prideful every day.
- Hospitable – Hospitality is central to the services provided by HMS. The Company focused on embodying a spirit of hospitality in all products and services offered.
- Hungry – Hunger not only is associated with what the Company's services satisfy, but it also represents the passion HMS carries to grow and constantly improve.

Ownership

The Company's ownership as of the Valuation Date is presented in the table below:

Company Ownership as of June 30, 2021	
Shareholder	Ownership %
Bryan West	50.0%
Tom Walters	50.0%
Total	100.0%

Company Overview

Historical Revenue and Net Income

Unadjusted income statements for the fiscal years 2017 through 2021 are presented in the table below. The financial statements for the fiscal years 2017 through 2021 were derived from the Company's reviewed financial statements.

	For the Fiscal Year Ended,				
	6/28/2017	6/27/2018	6/26/2019	6/24/2020	6/30/2021
Revenue	\$ 7,222,398	\$ 8,854,191	\$ 10,824,035	\$ 9,625,074	\$ 10,683,252
Cost of Goods Sold	2,378,523	2,676,280	3,075,124	2,521,366	2,659,027
Gross Profit	4,843,875	6,177,911	7,748,911	7,103,708	8,024,225
Total Operating Expenses	4,765,365	6,102,073	7,572,878	6,787,069	7,710,499
Operating Income	78,510	75,838	176,033	316,639	313,726
Total Other Income (Expense)	(59,473)	(59,580)	(43,862)	(212,738)	940,476
Pretax Income	19,037	16,258	132,171	103,901	1,254,202
Income Tax	7,000	2,384	37,227	83,682	85,494
Net Income	<u>\$ 12,037</u>	<u>\$ 13,874</u>	<u>\$ 94,944</u>	<u>\$ 20,219</u>	<u>\$ 1,168,708</u>

Assets and Liabilities

As of the Valuation Date, the Company's assets, as reflected on the Company's financial statements, consist of cash, accounts receivable, inventory, prepaid expenses, prepaid and deferred income taxes, project advances (current and long-term portions), net fixed assets, and other assets. The Company's liabilities consist of accounts payable, customer deposits and client rebates payable, accrued expenses, long-term debt (current and long-term portions), income taxes, PPP loan, and deferred income taxes. The Company's detailed balance sheets for fiscal years 2017 through 2021 are presented on Appendix D, Schedules 3 and 4.

Economic and Industry Outlook

Economic and Industry Outlook

Economic Outlook

Below is a summary of the national economic conditions as of the Valuation Date as reflected in the National Economic Review (Second Quarter 2021).

General Economic Overview

According to advance estimates released by the Department of Commerce's Bureau of Economic Analysis (the "BEA"), Real Gross Domestic Product ("GDP"), the output of goods and services produced by labor and property located in the United States, increased at an annualized rate of 6.5% during the second quarter of 2021 after increasing at an annualized rate of 6.3% in the first quarter of 2021. The increases in annualized GDP growth during the first two quarters of 2021 follow an increase of 33.8% in the third quarter of 2020 and an increase of 4.5% in the fourth quarter of 2020. The following explanatory note regarding the increase in GDP during the second quarter is excerpted from the BEA News Release dated July 29, 2021:

The increase in second quarter GDP reflected the continued economic recovery, reopening of establishments, and continued government response related to the COVID-19 pandemic. In the second quarter, government assistance payments in the form of loans to businesses and grants to state and local governments increased, while social benefits to households, such as the direct economic impact payments, declined. The full economic effects of the COVID-19 pandemic cannot be quantified in the GDP estimate for the second quarter because the impacts are generally embedded in source data and cannot be separately identified.

The annualized GDP increase of 6.5% during the second quarter of 2021 is below economists' projections for growth of 9.1% (Wall Street Journal Survey). GDP declined 3.4% during 2020, compared to growth of 2.3% in 2019 and 2.9% in 2018. Exports increased 6.0% in the second quarter of 2021, compared to an increase of 22.5% in the fourth quarter of 2020 and a decrease of 2.9% in the first quarter of 2021. Durable goods expenditures increased 9.9% in the second quarter of 2021 following an increase of 1.1% in the fourth quarter of 2020 and an increase of 50.0% in the first quarter of 2021.

Economists expect GDP growth to continue into the next two quarters. A survey of economists conducted by The Wall Street Journal reflects an average GDP forecast of 7.0% annualized growth in the third quarter of 2021, followed by 5.4% annualized growth in the fourth quarter. The Conference Board ("TCB") reported that the Leading Economic Index ("LEI"), the government's primary forecasting gauge, increased 0.7% in June, which follows increases of 1.3% and 1.2% in April and May, respectively. Over the six months ended June 2021, the LEI increased 5.0%. Traditionally, the LEI is thought to gauge economic activity six to nine months in advance. Consecutive moves in the same direction are considered to be indicative of the general direction of the economy. In

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response to the June reading, Ataman Ozyildirim, Senior Director of Economic Research at TCB, commented: “June’s gain in the U.S. LEI was broad-based and, despite negative contributions from housing permits and average workweek, suggests that strong economic growth will continue in the near term.” He added, “While month-over-month growth slowed somewhat in June, the LEI’s overall upward trend—which started with the end of the pandemic-induced recession in April 2020—accelerated further in Q2. The Conference Board still forecasts year-over-year real GDP growth of 6.6 percent for 2021 and a healthy 3.8 percent for 2022.” Eight of the LEI’s ten leading economic indicators increased during June 2021. TCB economists project annualized GDP growth of 6.6% in 2021 followed by GDP growth of 3.8% in 2022 and 2.5% in 2023.

June 2019 marked 120 months (ten years) of expansion since the June 2009 trough, matching the previous record for the longest period of economic expansion in U.S. history, which occurred from March 1991 to March 2001. This expansion continued another eight months before ending with the 4.8% contraction in GDP in the first quarter of 2020. The NBER determined that a peak in monthly economic activity occurred in the U.S. economy in February 2020. The peak marked the end of the expansion that began in June 2009 and lasted a record 128 months, as well as the beginning of a recession. According to the NBER, this recession lasted two months, as the U.S. economy began to recover from the initial shock of the coronavirus pandemic in April of 2020. This makes the 2020 recession the shortest U.S. recession on record.

The Congressional Budget Office (the “CBO”) announced an estimated \$2.2 trillion budget deficit for the first nine months of fiscal 2021 (nine months ended June 2021). This deficit was approximately \$508 billion less than the deficit during the same period of fiscal 2020. According to CBO estimates, revenues in the first nine fiscal months of 2021 were approximately 35% higher and outlays were 6% higher than in the same period of 2020. Of note, the CBO indicates in its report that the increases in revenues stem in part from earlier due dates this year for corporate and individual income tax payments than in 2020.

For much of the past two years, the U.S. and China have been embroiled in an ongoing trade dispute that was replete with contentious negotiations and the imposition of retaliatory tariffs. The U.S. and China signed an eight-part agreement comprising the first phase of the trade deal on January 15, 2020, effectively placing a hold on the two-year trade war that caused turmoil in global markets and hampered economic growth worldwide. While significant progress was made with the signing of the phase one deal, issues such as possible tariff reductions, favorable Chinese subsidies to domestic companies, and Beijing’s oversight of state-owned firms would be left to further negotiations. Key components of the phase one deal differed slightly from previously reported terms and included the following:

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- China will increase purchases of U.S. goods and services (excluding agricultural products) by approximately \$200 billion over the next two-years, using 2017 as a benchmark. Key industries from which China will be purchasing goods include technology and energy;
- China will additionally purchase \$32 billion of U.S. agricultural goods over the same two-year period;
- Language further enabling U.S. businesses to initiate a criminal investigation into the theft of trade secrets in China;
- The removal of barriers on U.S. banking institutions to enable U.S. banks, insurers, and other financial services companies to expand in the Chinese market;
- The creation of a dispute-resolution office aimed at fairly adjudicating disagreements between U.S. businesses and their Chinese partners;
- The U.S. cut the previously imposed tariff rate from 15% to 7.5% on roughly \$120 billion of Chinese products. The deal leaves those tariffs in place, but former President Trump signaled a possible removal of those tariffs in forthcoming negotiations. The U.S. also canceled 15% tariffs on roughly \$156 billion in Chinese consumer products that were set to go into effect in December;
- Chinese commitment to not devalue its currency or make persistent interventions in its currency market.

Through the fourth quarter of 2020, China continued to lag its commitment to buy approximately \$200 billion in U.S. goods under the agreement signed in January 2020. While China's agricultural purchases accelerated in the second half of the year, they were still only approximately 70% of the original target, specified under the terms of the agreement. Joe Biden was elected as the 46th President of the United States in November 2020. Following his election, President Biden's specific plan to continue trade negotiations with China was unclear, but President Biden signaled throughout his campaign that he would work with allies to push China to follow international trade rules and uphold the terms of the agreement struck in January.

The U.S. and China began their first high-level meetings under the Biden administration in late March of 2021 in Anchorage, Alaska. The U.S. delegation, led by Secretary of State Antony Blinken, billed the two-day meeting as a chance for the U.S. and China to air divisive issues, deescalate their rivalry, and determine areas of cooperation. The two-day talks were generally tense, with both parties listing grievances against the other in their respective opening statements. While no substantive progress was made during the talks, this did represent the first in-person meeting between the two parties in nearly eight months. Happening concurrently to these talks, Katherine Tai was confirmed as U.S. Trade Representative in a unanimous vote of the Senate on March 17, 2021. In an

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interview with The Wall Street Journal following her confirmation, Ms. Tai indicated that the U.S. had no intention of lifting tariffs imposed on Chinese goods by the Trump administration in the near future. The second quarter of 2021 saw relatively little movement in the ongoing trade dispute, though the two sides did meet virtually in late May. These meetings consisted of little more than Ms. Tai reaffirming the Biden administration's guiding principles as it pertains to the trade dispute and the Chinese delegation further calling on the U.S. to roll back the remaining tariffs on Chinese imports.

On March 11, 2020, the World Health Organization ("the WHO") declared the outbreak of a novel coronavirus that originated in Wuhan, Hubei Province, China to be a global pandemic. COVID-19 is considered highly dangerous to vulnerable populations such as the elderly and/or those with pre-existing conditions and chronic ailments that compromise the human immune system. The first case of the novel coronavirus in the United States was confirmed in Washington state on January 21, 2020. The spread of the virus and its highly contagious nature became apparent in the U.S. and globally during the month of February. Beginning on February 24 and continuing through the following week, in the first of several major inflection points shaping public sentiment surrounding the virus in the United States, U.S. equity market indices experienced their greatest weekly declines since October 2008 on fears of the detrimental economic effects of the continuing spread of the virus. COVID-19 continued to spread across the U.S. through the latter days of February and early March, compelling declarations of public health emergencies by state governors in affected areas. Additionally, the Federal Open Market Committee (the "FOMC") cut the benchmark interest rate by fifty basis points on March 3 in an effort to support the economy in anticipation of the detrimental effects of the virus on economic activity.

In another major inflection point, the Centers for Disease Control mandated the cancellations and postponements of public and private events of more than fifty people for at least eight weeks on March 15. Through the balance of March, state and municipal governments issued various "stay-at-home" and "shelter-in-place" orders, requiring many businesses deemed "non-essential," such as restaurants, theaters, and small retail, to either close or materially alter operations. Major market indices continued to fall through the end of March. For reference, the S&P 500 closed at 2,585 on March 31, down approximately 24% from its all-time high of 3,386 on February 19.

The outbreak of COVID-19 in the United States and abroad spawned a public health crisis and substantial economic disruption for many American businesses and individuals in 2020. Through the end of the second quarter of 2021, Congress had enacted six separate pieces of legislation aimed at managing the pandemic and mitigating the economic burden placed on families and businesses. These legislative actions and the dates on which they were enacted into public law are summarized in the sections below.

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- H.R. 6074, Coronavirus Preparedness and Response Supplemental Appropriations Act – March 6, 2020: Legislation enacted that provides \$8.3 billion emergency funding for public health agencies and coronavirus vaccine research. The bill appropriated \$7.8 billion in discretionary funding to federal, state, and local health agencies and \$500 million in mandatory spending through changes to Medicare.
- H.R. 6201, Families First Coronavirus Response Act – March 18, 2020: Legislation enacted that provides \$192 billion in funding through various components to those in need. These components include the enhancement of unemployment insurance benefits, increased federal Medicaid and food-security spending, mandates requiring certain employers to provide paid sick, medical, and family leave, and free coverage for coronavirus testing under government health programs.
- H.R. 748, Coronavirus Aid, Relief, and Economic Security (CARES) Act – March 27, 2020: Legislative relief package totaling approximately \$2 trillion to address the near-term economic impact of the virus on American families and businesses. Key items in the legislation include the following:
 - \$500 billion in financial assistance for distressed sectors of the economy and sectors deemed critical to national security. Approximately \$450 billion of this funding supported loans to businesses, states, and municipalities through a new Federal Reserve lending facility.
 - Approximately \$380 billion in economic support for small businesses, which will largely be used for the creation of the Paycheck Protection Program (“the PPP”). The PPP offered loans to small businesses to help them avoid laying off workers. The portions of these loans spent on payroll, rent, or utilities will be eligible for forgiveness.
 - Direct payments to taxpayers on a graduated scale for those earning annual income up to \$99,000 (\$198,000 for married couples). Taxpayers with annual incomes up to \$75,000 (\$150,000 for married couples) will receive payments of \$1,200. These payments will gradually phase out up to the annual income cap of \$99,000. Families are also eligible to receive \$500 per qualifying child. Estimated provision of approximately \$290 billion.
 - Further expansion of unemployment benefits, extending unemployment insurance by thirteen weeks, boosting benefits by up to \$600 per week for four months, and expanding eligibility requirements. Estimated cost is approximately \$270 billion.
 - Direct federal aid to hospital and healthcare workers of approximately \$150 billion. This funding was provided to help hospitals, community health centers, and other healthcare providers prepare for and respond to the pandemic.

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- Various tax incentives, including provisions allowing businesses to defer payroll taxes, which act as key sources of funding for Medicare and Social Security. Another key provision allowed individual taxpayers to use business losses in recent years to offset nonbusiness income.
- H.R. 266, Paycheck Protection Program and Health Care Enhancement Act – April 24, 2020: Bill providing an additional \$383 billion in economic support for small businesses (\$321 billion to replenish the PPP), \$75 billion in funding for hospitals, and approximately \$25 billion to fund greater COVID-19 testing capacities.
- Consolidated Appropriations Act – December 27, 2020: Legislative package delivering \$868 billion of federal support to mitigate the economic impact of the COVID-19 pandemic. Key items in the legislation include the following.
 - \$302 billion in aid to small businesses. Allows businesses to receive a second round of PPP loans and ensures that this assistance will not be taxed.
 - Direct payments to individuals earning up to \$75,000. Taxpayers with annual incomes up to \$75,000 will receive a payment of \$600, with an additional \$600 for each dependent child.
 - Increased unemployment benefits of \$119 billion. Adds \$300 more per week to unemployment benefits, continues “gig” worker eligibility for unemployment, and lengthens the maximum amount of time a worker can receive unemployment benefits to 50 weeks.
 - Aid for schools of \$82 billion. This funding provides grants primarily to public K-12 schools, with a portion set aside for grants directed to higher education.
 - Health specific measures of \$78 billion. Included is \$29 billion for the procurement and distribution of coronavirus vaccines and \$22 billion for testing, tracing, and mitigation of coronavirus.
 - Other measures of \$123 billion. The legislation also includes funding for transportation, increased food stamp benefits, additional rental assistance, and other programs.
- The American Rescue Plan – March 11, 2021: Legislative package delivering \$1.9 trillion of federal relief in a variety of areas. Key items in the legislation include the following.
 - Direct payments totaling \$411 billion to individuals earning up to \$75,000 and married couples earning up to \$150,000. Taxpayers with annual incomes up to \$75,000 will receive a payment of \$1,400, and married couples earning up to \$2,800 will receive a payment of \$2,800, with an additional \$1,400 for each dependent child.

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- Direct aid to state, local, and tribal governments of \$362 billion.
- Increased unemployment benefits of \$203 billion. Extends \$300 weekly unemployment benefit through September 2021.
- Tax incentives of \$176 billion. Increases and enhances the existing Child Tax Credit from \$2,000 per child to \$3,000 per child.
- Aid for schools of \$170 billion. This funding provides grants primarily to public K-12 schools to safely reopen.
- Health specific measures of \$174 billion. Provides funding for vaccine distribution, testing, contact tracing, and other public health measures.
- Other measures of \$301 billion. The legislation also includes funding for small businesses, emergency rental assistance, mortgage assistance, and relief to prevent homelessness.

Consumer Spending and Inflation

Inflation

According to the Bureau of Labor Statistics (“BLS”), the Consumer Price Index (“CPI”) increased 0.9% in June 2021 (on a seasonally adjusted basis) after increasing 0.8% in April and 0.6% in May. The June increase was the largest 1-month increase since June 2008 when the index rose 1.0%. The unadjusted CPI stood at 271.70 (CPI-U all urban consumers, 1982 1984 = 100), an increase of 5.4% over the previous twelve months. The Core CPI, which excludes food and energy prices, increased 0.8% in June, and Core CPI increased 4.5% on an unadjusted basis over the previous twelve months.

The Producer Price Index (“PPI”) is generally recognized as predictive of near-term consumer inflation. The PPI for total final demand (seasonally adjusted) increased 1.0% in June 2021 following increases of 0.6% and 0.8% in April and May, respectively. The PPI for final demand excluding food, energy, and trade increased 0.5% in June. On an unadjusted basis, the twelve month change in the total final demand PPI was an increase of 5.5% through June 2021, which is the largest advance since 12-month data were first calculated in August 2014. The increase in the PPI was in line with projections made by economists surveyed by Reuters, which forecasted an increase of 0.6% in the PPI in June.

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Oil and Gasoline

In the first quarter of 2020, oil prices fell dramatically as the travel restrictions due to the ongoing coronavirus pandemic depressed demand for oil. U.S. crude futures closed the quarter trading at \$20.48 per barrel, down 66% over the course of the first quarter. The March 31, 2020 closing price for U.S. crude oil (West Texas Intermediate (“WTI”), which serves as the primary U.S. benchmark) also represented a new 18-year low. Oil prices recovered in the second quarter of 2020, bolstered by the return of demand for fuel following the loosening of lockdown restrictions in the U.S., a slide in domestic production in the U.S., and an agreement between OPEC members reached in early April to cut output. U.S. crude oil closed the quarter trading at \$39.27 per barrel, marking a 92% increase over the course of the quarter. This advance was the largest quarterly increase in the price of U.S. crude oil since 1990. Brent crude oil, the global benchmark, closed the quarter at \$41.15, up approximately 81% from the end of the first quarter. In the third quarter of 2020, demand for gasoline in the U.S. was relatively stagnant, keeping U.S. crude oil prices around \$40 per barrel for much of the quarter. U.S. crude oil prices ended the third quarter at just below \$40 per barrel, down from a peak of just above \$43 per barrel in late August. Brent crude futures also closed the quarter at approximately \$42 per barrel and spent most of the quarter in the range of \$40 to \$43 per barrel. Oil prices ended the year with momentum, though global benchmarks still posted losses for the whole of 2020. West Texas Intermediate rose in price by approximately 20% over the course the fourth quarter, ending at \$48.52 per barrel, but fell 20.5% for the year. Brent crude oil closed the year at \$51.80 per barrel, representing an increase of 26.5% in the fourth quarter, but closed the year down 21.5% from year-end 2019 levels. In the first quarter of 2021, oil prices gained approximately 20%. Brent crude oil closed the quarter at \$64.46 per barrel, up from \$51.80 at year-end 2020. West Texas Intermediate closed at \$60.81, up from \$48.52 at the end of 2020. Aiding the gain in oil prices in the first quarter were a surprise announcement of production cuts by OPEC and extreme weather in Texas, which boosted demand for fuel and power and threatened production. Pricing gains were tempered by a spike in COVID-19 cases in Europe and renewed lockdowns, which hampered demand in global oil markets.

Brent crude oil closed the second quarter of 2021 at \$76.94 per barrel, a 16% increase from the closing price at the end of the first quarter. WTI closed the second quarter at \$73.52 per barrel, a 24% increase from the end of the first quarter. Both benchmarks closed the quarter slightly below highs reached in 2018 on declining oil inventories both in the U.S. and globally. Consumer demand for energy products continued to recover in the second quarter with the ongoing loosening of travel restrictions domestically and abroad.

The Baker Hughes North American (U.S.) total oil rig count increased 10.0% in the second quarter of 2021 after increasing 22.5% during the first quarter. The total rig count was up 80.6% over the last twelve months ended June 30, 2021. Brent crude oil, which is the global benchmark for oil prices, traded at an average of \$73 per barrel in June 2021, which is \$33 per barrel higher than the

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average for June 2020. The U.S. Energy Information Administration (“EIA”) expects crude oil prices to average \$72 per barrel in the second half of 2021 and \$67 per barrel in 2022. The EIA estimates that U.S. crude oil production in 2021 will average 11.1 million barrels per day, with production rising in 2022 to 11.9 million barrels per day.

Retail Sales and Personal Consumption

According to the Census Bureau of the U.S. Department of Commerce, the advance estimates of U.S. retail and foodservice sales (adjusted for seasonal, holiday, and trading day differences) for June 2021 increased 0.6% from the previous month and 18.0% relative to June 2020. Core retail and foodservice sales (which exclude motor vehicles and parts) increased 1.3% relative to the previous month and increased 17.6% relative to June 2020. In the second quarter of 2021, retail and foodservice sales increased 6.2% relative to the first quarter and were 31.5% above the level observed in the second quarter of 2020.

Personal consumption spending represents approximately 70% of total economic activity and is a primary component of overall economic growth. Real personal consumption spending increased 11.8% in the second quarter of 2021 following increases of 3.4% and 11.4% in the fourth quarter of 2020 and first quarter of 2021, respectively. According to the BEA, durable goods purchases increased 9.9% in the second quarter of 2021 following increases of 1.1% and 50.0% in the fourth quarter of 2020 and first quarter of 2021, respectively.

Business and Manufacturing Productivity

According to the BLS, seasonally adjusted nonfarm business productivity (as measured by the hourly output of all persons) increased at an annual rate of 2.3% in the second quarter of 2021. The productivity increase in the second quarter follows an increase of 5.4% in the first quarter. Productivity increased 2.4% in 2020.

Business sector productivity (inclusive of farming activity) increased 2.7% in the second quarter of 2021, while manufacturing productivity increased 6.9% during the quarter.

Industrial Production and Capacity Utilization

According to the Federal Reserve, seasonally adjusted industrial production increased 0.4% in June 2021 after remaining unchanged in April and increasing 0.7% in May. Overall industrial production during the second quarter of 2021 increased at an annualized rate of 5.5%. For reference, industrial production increased 8.2% in the fourth quarter of 2020 and 3.6% in the first quarter of 2021. During the second quarter of 2021, manufacturing output increased at an annualized rate of 3.7% following increases of 11.1% and

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2.3% in the fourth quarter of 2020 and first quarter of 2021, respectively. After increasing at an annualized rate of 7.5% in the first quarter, mining output again increased in the second quarter at a rate of 25.6%.

Seasonally adjusted capacity utilization was 75.4% in June 2021, following measures of 74.6% and 75.1% in April and May, respectively. Capacity utilization for the second quarter of 2021 overall measured 75.0%, up from 73.4% and 74.1% in the fourth quarter of 2020 and first quarter of 2021, respectively.

The Financial Markets

The S&P 500, Dow Jones Industrial Average, NASDAQ, and broad market Wilshire 5000 all posted broad gains in the second quarter of 2021 on continued optimism surrounding the economic recovery in the U.S., the possibility of further fiscal stimulus, and confidence that the Federal Reserve will continue to support credit markets. During the second quarter, markets received a boost from the ongoing reopening process and loosening of COVID-related restrictions in the U.S., which spurred consumer economic activity across a swath of sectors. Gains in the market were tempered somewhat by inflationary pressures, though these concerns were assuaged by the prospect of Federal Reserve actions aimed at raising interest rates sooner than previously expected. Over the course of the second quarter, the Dow Jones Industrial Average gained 4.6%, the S&P 500 gained 8.2%, the NASDAQ gained 9.5%, and the broad market Wilshire 5000 Index gained 8.1%.

The following provides a brief summary of each index's performance in the second quarter of 2021:

- The Dow Jones Industrial Average ended the second quarter of 2021 at 34,503. This represents a 4.6% increase for the quarter, following increases of 7.8% in the first quarter and 10.2% in the fourth quarter of 2020. The Dow was up 7.3% over the entirety of 2020 after increasing 22.3% in 2019.
- The S&P 500 Index ended the second quarter of 2021 at 4,298. This represents an 8.2% increase for the quarter, following increases of 5.8% in the first quarter and 11.7% in the fourth quarter of 2020. The S&P 500 posted a gain of 16.3% in 2020 after posting a gain of 28.9% in 2019.

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- The NASDAQ Composite Index ended the second quarter of 2021 at 14,504. This represents a 9.5% increase for the quarter, following increases of 2.8% in the first quarter and 15.4% in the fourth quarter of 2020. During 2020, the NASDAQ rose by 43.6% after rising 35.2% in 2019.
- The broad market Wilshire 5000 Index ended the second quarter of 2021 at 45,114. This represents an 8.1% increase for the quarter, following increases of 5.8% in the first quarter and 14.4% in the fourth quarter of 2020. The Wilshire 5000 index was up 27.7% in 2019 and up 20.0% in 2020.

Treasury yields were generally stagnant during the second quarter of 2021. Yields on U.S. treasury instruments of medium terms (two to five years) rose slightly, while yields on longer-term instruments fell marginally. Bond prices display an inverse relationship with their respective yields and rise as yields fall. Additionally, bond prices can shift abruptly due to investor reactions to major variances in reported economic data versus market expectations (e.g., expected inflation, growth, monetary policy, and other Federal Reserve actions). Yields on longer-term instruments fell during the second quarter as investor confidence in the strength of the economic recovery waned somewhat in light of inflationary pressures. Still, the relative calm in credit markets in the second quarter reflects positive investor sentiment regarding the direction of the economy in the U.S. Monthly average yields on 10-year Treasury notes fell 9 basis points from the end of March to the end of June. The 10-year Treasury note closed the quarter at a monthly average yield of 1.52% in June. The spread between the 2-year and 10-year Treasury note yields narrowed to 132 basis points, down from 146 basis points at the end of the first quarter. Investors generally view the slope of the yield curve as an indicator of the direction of the economy. Steeper upwardly sloped yield curves (as seen in the widening of the spread between the 2-year and the 10-year note) imply higher inflation and greater future economic growth.

Economists surveyed by The Wall Street Journal anticipate yields to increase marginally through the end of 2021 (10-year note yield of 1.79% in December of 2021), before recovering towards levels seen in 2019 during upcoming years (10-year note yield of 1.97% in June 2022 and 2.11% by December of 2022).

Housing Market

Homebuilding activity has traditionally been a primary driver of overall economic activity because new home construction stimulates a broad range of industrial, commercial, and consumer spending and investment. According to the U.S. Census Bureau, new privately-owned housing starts were at a seasonally adjusted annualized rate of 1,643,000 units in June 2021, 6.3% above the revised May rate of 1,546,000 units and 29.1% above the June 2020 rate. The seasonally adjusted annual rate of private housing units

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authorized by building permits (considered the best indicator of future housing starts) was 1,598,000 units in June 2021, 5.1% above the revised May rate of 1,683,000 units and 23.3% above the June 2020 rate.

According to the National Association of Realtors (“NAR”), existing-home sales (at a seasonally adjusted annual rate) totaled 5.86 million in June 2021, up 1.4% from May levels and 23% higher than existing-home sales in June 2020. First-time homebuyers purchased 31% of existing homes in June, unchanged from May and down from 35% in June 2020. Housing inventory stood at 1.25 million existing homes, representing 2.6 months of supply at the current sales pace, down from 3.9 months in June 2020. Properties stayed on the market for an average of 17 days in June 2021, which is a record low. The national median existing single-family home price was \$363,300 in June 2021, a 23.4% increase relative to June 2020. Distressed sales, which include foreclosures and short sales, accounted for less than 1% of sales in June 2021, which is unchanged from May’s measure.

Unemployment and Payroll Jobs

According to the BLS, the unemployment rate (U-3) was 5.9% in June 2021, up from 5.8% in May and down from 6.1% in April. Economists surveyed by The Wall Street Journal anticipate unemployment rates of 4.9% in December 2021 and 4.4% in June 2022. The underemployment rate (U-6, seasonally adjusted), which includes workers who are involuntarily working part-time positions, was 9.8% in June 2021 after measurements of 10.4% and 10.2% in April and May, respectively.

In June 2021, the labor force participation rate stood at 61.6% and has remained within a range of 61.4% to 61.7% since June 2020. Economists surveyed by The Wall Street Journal anticipate nonfarm payroll gains of approximately 484,000 jobs per month over the next year.

Monetary Policy and Interest Rates

During the first quarter of 2018, Jay Powell was named Chairman of the Federal Reserve, replacing Janet Yellen. Despite pressure and rhetoric from former President Trump aimed at keeping the target rate stagnant, the FOMC raised the target rate four times over the course of 2018, ending the year in a range of 2.25% to 2.50%. After leaving rates unchanged through the first half of 2019, the rate cuts alluded to in previous meetings by Fed officials materialized in the third quarter of 2019, as eight of ten Fed officials voted to lower the benchmark rate by a quarter-percentage point to a range between 2.00% and 2.25% at the July meeting of the FOMC and again at the September meeting, leaving the benchmark rate at a range between 1.75% and 2.00% at the end of the third quarter. FOMC officials would vote to lower rates once more in October, dropping the benchmark rate to a range of 1.50% to 1.75% at year-end 2019.

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On March 3, 2020, the Federal Reserve executed an unscheduled rate cut of one-half of a percentage point, reducing the federal-funds rate to a range between 1% and 1.25%. This was the first rate change made in between scheduled FOMC meetings since the financial crisis of 2008, as the Fed moved to prevent a pullback in credit availability that could amplify a slowdown in U.S. growth caused by the COVID-19 pandemic. The Fed instituted another emergency rate cut on March 15, cutting the benchmark interest rate by an additional 100 basis points to a range of 0% to 0.25%. This was the second emergency rate cut in as many weeks, an unprecedented action by the FOMC. In addition, the Fed announced that it would buy \$700 billion in Treasury and mortgage-backed securities in response to the COVID-19 pandemic.

With interest rates cut virtually to zero, the Fed relied on new lending programs in the second quarter of 2020 to stimulate the U.S. economy. On April 9, the Fed announced three new emergency lending facilities to implement the relief provided by the CARES Act and support the work of the Treasury Department and the Small Business Administration. These new lending facilities included the following.

- Paycheck Protection Program Liquidity Facility, which will purchase PPP loans from banks, allowing banks to continue to lend freely under the PPP program and remove these non-performing loans from bank balance sheets.
- Main Street Businesses Lending Program, which will purchase \$600 billion in debt from businesses employing less than 10,000 workers or having fewer than \$2.5 billion in revenues. Any required payments on these loans will be deferred for a year.
- Municipal Liquidity Facility, which will purchase \$500 billion in debt from states and cities with populations over 1 million.

In addition, the Fed announced the expansion of the Primary and Secondary Market Corporate Credit Facilities and the Term Asset-Backed Securities Loan Facility to support up to \$750 billion in credit purchases.

During FOMC meetings in the third quarter of 2020, the Fed reiterated its commitment to support the economy through aggressive monetary policy. Though no new policy steps or programs were announced during the third quarter, the FOMC voted to leave rates unchanged in a range between 0% and 0.25% at its July and September meetings. New language from the FOMC signaled a shift away from the Fed's longtime strategy of pre-emptively lifting rates to head off higher inflation. To summarize, the FOMC will now wait for inflation to increase above 2% for several periods before considering raising the benchmark rate, a goal termed as "symmetric inflation targeting." The FOMC had previously used the benchmark rate as a mechanism to keep inflation low. The FOMC met in November and December during the fourth quarter of 2020. While no new policy was enacted during these meetings, the Fed did clarify its plan for long-term support for the economy in an FOMC statement following the December meeting. The

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FOMC met in January and March 2021 and at both meetings pledged to keep its current expansionary monetary policies in place until the U.S. economy fully recovers from the effects of the COVID-19 pandemic. Of note, Fed officials did signal at the March meeting that they expect the economy to recover more quickly than previously thought according to new projections released in conjunction with the March meeting. Despite this expectation, only seven of the eighteen members of the FOMC anticipate raising rates in 2022 or 2023, which is up from five members in December 2020.

During the second quarter of 2021, the FOMC met in April and June. At the April 28 meeting, Fed officials voted unanimously to maintain the central bank's current policies as the economy continues to mend from the effects of the pandemic. In a statement following the April meeting, Fed officials commented on the ongoing recovery and rising inflation in 2021: "Amid progress on vaccinations and strong policy support, indicators of economic activity and employment have strengthened. The sectors most adversely affected by the pandemic remain weak but have shown improvement. Inflation has risen, largely reflecting transitory factors." The FOMC met again in June, where committee members and Chairman Powell changed their tone in regard to the timing of interest rate increases. FOMC officials signaled that they expected to raise interest rates by late 2023 after the June meeting, which is earlier than they had anticipated following previous meetings in 2021. Fed officials also indicated that they expected an eventual tapering of the central bank's bond-buying program, though the timing of this winding down remained uncertain. Chairman Powell stated that many Fed officials believe that the economy will reach the Fed's goals of "maximum employment" and sustained inflation at 2% sooner than previously anticipated in his statement following the June meeting, excerpts of which can be found below:

The Fed's policy actions have been guided by our mandate to promote maximum employment and stable prices for the American people, along with our responsibilities to promote the stability of the financial system. As the Committee reiterated in today's policy statement, with inflation having run persistently below 2 percent, we will aim to achieve inflation moderately above 2 percent for some time so that inflation averages 2 percent over time and longer-term inflation expectations remain well anchored at 2 percent.... As is evident in the SEP, many participants forecast that these favorable economic conditions will be met somewhat sooner than previously projected; the median projection for the appropriate level of the federal funds rate now lies above the effective lower bound in 2023. Of course, these projections do not represent a Committee decision or plan, and no one knows with any certainty where the economy will be a couple of years from now. More important than any forecast is the fact that, whenever liftoff comes, policy will remain highly accommodative. Reaching the conditions for liftoff will mainly signal that the recovery is strong and no longer requires holding rates near zero.

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Summary and Outlook

The COVID-19 pandemic adversely affected nearly every facet of the U.S. economy during 2020, though the economy continued to show signs of stabilizing in the fourth quarter of the year and the first quarter of 2021. This trend continued into the second quarter of 2021. The unadjusted CPI increased 0.9% in June 2021 and increased 5.4% from June 2020 to June 2021. Core CPI increased 0.8% in June 2021 and 4.5% over the prior twelve months.

The S&P 500, Dow Jones Industrial Average, NASDAQ, and broad market Wilshire 5000 all posted gains in the second quarter of 2021 on continued optimism surrounding the economic recovery in the U.S., the possibility of further fiscal stimulus, and confidence that the Federal Reserve will continue to support credit markets. The Dow rose by 5% in the second quarter, the S&P 500 by 8%, the NASDAQ by 10%, and the Wilshire 5000 by 8%.

Prior to the disruption caused by the pandemic, the unemployment rate had remained stable for several months in the range of 3.5% to 4.0%, continually nearing all-time lows. The unemployment rate was 5.9% in June 2021. The unemployment rate has consistently fallen month-over-month since peaking at 14.7% in April 2020. Labor force participation remains low relative to historic levels at 61.6%.

Following the deep contraction in GDP in the second quarter of 2020 and subsequent rebounds in GDP in the past four quarters, economists expect the recovery to continue in future quarters. A survey of economists conducted by The Wall Street Journal reflects an average GDP forecast of 7.0% annualized growth in the third quarter of 2021, followed by 5.4% annualized growth in the fourth quarter. GDP declined 3.4% in 2020 compared to annual GDP growth of 2.3% and 2.9% in 2019 and 2018, respectively. Economists anticipate an annualized growth in GDP of 6.9% for the whole of 2021.

Industry Outlook

Set forth below is a summary of the Food Service Contractors in the U.S. industry report prepared by IBISWorld on January 1, 2021.

Industry Overview

Operators in the Food Service Contractors industry provide food services at institutional, governmental, commercial, or industrial locations. Examples of facilities where food services are provided include airports, food courts, college and university cafeterias and recreational and sports venues.

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The industry performed well before taking a hit in 2020. For most of the past five years, the industry benefited from an increase in spending of downstream customers on discretionary items, such as tickets to sporting and music events, as well as increased travel spending. Furthermore, the industry also availed from the increased propensity of businesses, healthcare facilities and educational institutions to outsource their food services. However, the unprecedented effects of the COVID-19 (coronavirus) outbreak have caused industry revenue to decline an estimated 25.7% in 2020 alone. As a result, industry revenue has decreased overall, at an annualized 4.4% to \$37.4 billion over the five years to 2020.

Improving economic conditions benefited operators for the majority of the past five years because the industry is highly concentrated in venues that benefit from a healthy economy, such as stadiums, airports, corporate parks, and shopping centers. A wave of new players even entered the industry during the period in light of revenue growth, causing competition to intensify. Nonetheless, to the industry's detriment, state governments ordered public venues to temporarily shut down to prevent the spread of the coronavirus in mid-March 2020. This order is expected to hurt the industry dramatically because industry operators rely on serving customers at those locations to generate revenue. Consequently, industry profit, measured as earnings before interest and taxes, is expected to decline from 7.4% of revenue in 2015 to an estimated 2.1% in 2020.

As the economic landscape is expected to recover in the coming years, industry revenue is forecast to rise an annualized 6.1% to \$50.2 billion over the five years to 2025. Consumer spending and corporate profit are both projected to expand, enabling more consumers and businesses to increase spending at food service locations. Domestic and international travel will likely help drive demand for food services within airports, and increased attendance at sporting and entertainment events is also expected to play a role in boosting industry revenue. In addition, consolidation is forecast to continue over the next five years, as large operators win a disproportionate share of large contracts and clients increasingly seek providers with the necessary scale and sophistication to serve customers.

Competitive Landscape

Concentration in this industry is high. In 2020, IBISWorld estimates that the top four operators account for more than 70.0% total of industry revenue, representing a high concentration. The top end of the industry is dominated by a small number of large operators that control large contracts for major stadiums, education facilities and events. Only a few companies have the capacity to service these contracts as they require economies of scale, extensive supply chains and the ability to hire large numbers of workers for seasonal events. As a result, the industry has become more consolidated over the five years to 2020.

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The top four industry operators have undergone several acquisition deals of smaller operators in efforts to expand their economies of scale and offer better products and services. For example, Compass Group PLC (Compass) has undergone over a dozen acquisitions over the past five years. This heightened level of acquisition in the industry has further exasperated competition in the industry. Moreover, the recent increase in acquisitions indicates that Compass is making a concerted effort to increase profitability by claiming larger portions of the market share.

While the industry is highly concentrated, there are also a large number of small- and medium-size operators active in the industry. The U.S. Census Bureau indicates that nearly 49.0% of establishments are small businesses that employ up to nine people and 36.8% are midsize operators that employ between 10 and 99 employees. These smaller operators usually have a defined geographic focus and serve local markets.

Products

Cafeteria Dining Services

One of the core services that food service contractors offer is cafeteria dining services to various sectors. Establishments across the industry's customer markets include office buildings, educational institutions, hospitals, museums, military bases, correctional facilities and other institutions. Cafeterias have little or no table service, with service provided from counters or stalls, meaning they require fewer employees than full- service restaurants. Customers usually take a tray and pick up food as they walk along the service area. It is also common for cafeterias to provide stations where customers buy made-to-order food. Alcoholic beverages are rarely served in cafeterias, so operators do not benefit from the higher margins that alcohol sales provide. Customers are either charged a flat rate for admission (as in a buffet) or pay at checkout for each item. Some self-service cafeterias charge by the weight of items on a patron's plate. Due to the COVID-19 (coronavirus) outbreak, cafeterias at nonessential businesses were required to temporarily closed. Consequently, industry operators shifted to offer prepacked meals for pickup. This shift applied to cafeterias in educational institutions and some essential businesses that remain open amid the pandemic. In 2020, cafeteria dining services are estimated to account for 34.8% of revenue. This segment has fallen as a share of revenue as institutions seek to provide their guests and customers with a greater variety of food options and are turning toward retail and concession stands.

Catering and Banquet Services

Catering is slowly becoming a core service of this industry and revenue earned by specialty caterers is counted as part of the Caterers industry. Nonetheless, some food service contractors do provide their clients with catering services. This is mainly confined to the

Economic and Industry Outlook

business and industry, education and healthcare segments, which hold regular events that require catering. Demand for catering has remained sluggish over the past five years as business sentiment has declined and businesses have reduced their spending on events requiring catering, such as office parties, corporate conferences, product and shop launches, team- building seminars and client events. As a result of this lower demand, the average spend per head has fallen. In 2020, office closures have further diminished demand for these services, accounting for an estimated 16.4% of revenue.

Technology

The industry is experiencing a low level of both the rate of new patents and the concentration of patents in the industry. This creates an environment where the threat of new technologies driving disruption is low. Additionally, this industry's structure makes it difficult for new operators to enter and succeed. These barriers have the potential to disincentivize potential disruptors. Despite these barriers, the industry is experiencing a rapid growth in the number of companies. A difficult operating environment for new entrants combined with a large cohort of them may create a situation where these companies may take on a disruptive trajectory in non-traditional markets. Major market segments for industry operators are relatively diversified. The spread of market segments suggests that there are limited entry points other than those already served by incumbent operators.

Due to the large scale of operations and labor intensity, food service contractors industry services are less prone to technology disruption. Considerable numbers of staffs are required to prepare, cook, and serve a large amount of food. Consequently, the industry's core operational processes are not easily automated and mechanized. Conversely, technology advancements that occurred at the operational level have significantly benefited the industry. For example, the wireless ordering system has streamlined the order-taking process, reducing the waiting time for customers.

Marketing

Advertising costs are negligible as industry operators do not benefit significantly from marketing activities. In 2020, marketing costs account for an estimated 1.8% of industry revenue. However, spending on marketing activities by industry operators will likely increase over the next five years as industry competition intensifies.

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Regulation

The industry is subject to a moderate level of regulation; however, this level is expected to increase over the coming years. There are regulations covering a range of areas, from food safety and standards to labor conditions and liquor licensing. Most regulation is enacted and enforced at the state level, but many federal laws also apply.

Food Safety and Standards

The industry is subject to laws and regulations relating to the preparation and sale of food, including regulations regarding product safety, nutritional content, and menu labeling. The main agency responsible for providing guidance and regulation is the U.S. Food and Drug Administration (FDA). The FDA's Model Food Code, which is a best- practice guide to food handling and presentation, applies to this industry and is updated each year. The FDA Nutritional Value applies as well. Since 1996, the FDA regulations have set standards for nutritional values of individual foods and meals. If claims such as "low fat" or "heart-healthy" are on a menu, an owner must be able to demonstrate to officials that there is a reasonable basis for the claim. For instance, the meal may be based on a recipe from a health association or a recognized dietary group. Complete nutritional information, however, is not required to be on menus.

The Affordable Care Act requires food service companies to disclose calorie information on their menus. The Food and Drug Administration has proposed rules to implement this provision that would require food service providers to post the number of calories for most items on menus or menu boards and to make available more detailed nutrition information upon request.

Labor Relations

The industry employs a high number of young and low-skilled workers at hourly rates and, therefore, is subject to minimum wage and employee benefits regulations. Workers in the United States are entitled to be paid no less than the statutory minimum wage, which is currently \$7.25 per hour. Each state also formulates and regulates its own minimum wage, with some states implementing rates higher than the federal rate. The implementation of the Affordable Care Act over the next five years will have a minor effect on the industry. Employers with 50 or more employees that work 30 hours a week will be required to provide healthcare coverage or pay a fine. However, the large majority of industry operators employ less than 50 staff, of which many are part-time. Most major operators are currently reviewing the potential effects of the new law on their businesses, often opting to hire more part-time staff instead of full-time employees as a way to forgo many of these added costs.

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International Insights

Imports and exports in this industry are low and steady. Operators in the Food Service Contracts industry provide a service to the domestic market; international trade is not a factor. While many industry enterprises have international operations and sell products manufactured or produced overseas, international trade is measured at the manufacturing level.

Outlook

Over the next five years, the industry will likely recover due to increased consumer spending and improved corporate profit. As the national unemployment rate declines and household income levels likely continue rising, consumers will be more likely to spend on entertainment and sporting events, which feature industry services. Moreover, various private and public institutions and facilities have been permitted to reopen, albeit at a limited capacity. As such, industry revenue is forecast to rise at an annualized rate of 6.1% to \$50.2 billion over the five years to 2025.

Overall Outlook for Hallmark Management Service, Inc.

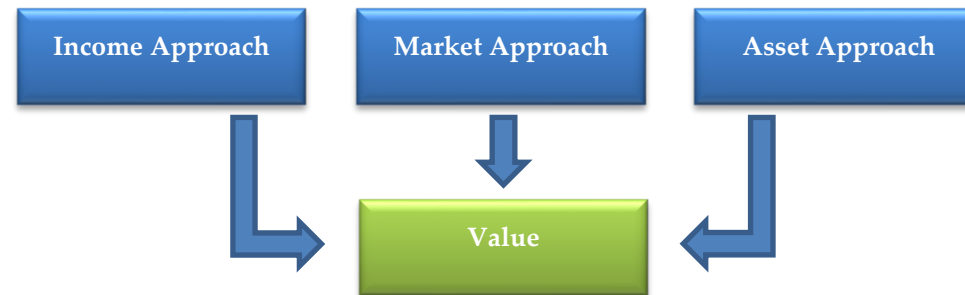
Along with many companies in the industry, HMS experienced a decline in growth in fiscal year 2020 primarily due to the global COVID-19 pandemic. As the financial statements indicate, the Company has shown resilience and signs of rebound in fiscal year 2021. Economic experts anticipate that near-term results will be mixed with the potential for additional declines and anticipation of recovery during upcoming years. Management believes the Company can continue to grow through their core values and strong customer relationships. In the near-term, the Company plans to gain new business from customers that are currently with other competitors. Overall, the outlook for HMS is favorable due to the anticipated organic and strategic growth.

Valuation Approaches

Valuation Approaches

Overview

Generally, the business valuation profession recognizes three generally accepted valuation approaches; the income approach, the market approach, and the asset approach:



The following is a brief description of each approach.

Income Approach

The income approach is premised on the principle that the value of an asset can be determined by the present value of future benefits to be derived from ownership of that asset. Under the income approach, the valuation expert focuses on an entity's ability to generate future earnings or cash flow by considering the stream of benefits an investor expects to receive, the timing of the receipt of those benefits, and the risk borne by the investor that the benefits won't materialize. The most common methods used in the income approach are:

Capitalization of Earnings or Cash Flow Methods

The capitalization of earnings and cash flow methods involve determining an entity's earning capacity based on reference to historical earnings or cash flow, after adjustment if appropriate, and capitalizing this amount at an appropriate capitalization rate. These methods are commonly used to value an entity that has reached a stable level of sales and earnings or cash flow, such that history provides a reasonable basis for predicting future earnings or cash flow levels. The capitalization of earnings and cash flow

Valuation Approaches

methods are also used when an entity has an unstable level of sales and earnings or cash flow, such that the timing of future earnings or cash flow levels is more or less random.

Discounted Earnings or Cash Flow Methods

The discounted earnings and cash flow methods involve projecting future earnings or cash flows and a residual or terminal value. The earnings or cash flows and the terminal value are then discounted to present value using an appropriate discount rate that takes into consideration, among other things, the risks associated with realizing the projected benefits. To use these methods, future operating results must be reasonably predictable. The estimation process is normally performed by management. These methods typically are used to value an entity whose operations have not stabilized or whose historical results are not considered representative of anticipated future results.

Market Approach

The market approach is premised on the principle that the value of an entity may be determined by reference to what an investor would pay in the capital markets to own a similar investment. The market approach focuses on exchanges of similar property in the marketplace. The market approach is appropriate for use with all types of interests provided that the nature of the selected comparable entities and the circumstance of the exchanges are sufficiently similar to the interest being valued.

Use of the market approach is constrained by the quantity and quality of available market data. Basic considerations in the selection of guideline companies and transactions include: the availability of adequate financial and price information; the entity's line of business, location, and quality and depth of management; the size of the comparative entity; trading activity in the stock; and the specific block of stock that is the subject of the valuation.

The reference to market approach includes all of the methodologies discussed below:

Guideline Company Method

The guideline company method involves (1) selecting an appropriate sample of entities whose shares are traded on public stock exchanges, (2) calculating the stock price as a multiple of an appropriate measure, such as earnings, (3) adjusting the multiple to recognize differences between the public entity or entities and the subject entity in size, expected growth, and other factors, and (4)

Valuation Approaches

applying the adjusted multiple to the operating results of the subject entity to determine the value of the shares of the subject entity. These values generally are considered to provide an indication of value on a marketable, minority basis.

Merger and Acquisition Method

The merger and acquisition method involves the same process as the guideline company method except that the sample transactions are taken from databases that report merger and acquisition activity. The resulting values generally are considered to provide an indication of value on a control basis. When using this method, care must be taken to consider whether the transaction price included, among other items, a premium for synergies.

Prior Transactions

Prior sales of the Company's equity interests negotiated at arm's-length may provide objective evidence of value. An analysis of such transactions involves investigation to determine the extent to which the subject interest is sufficiently similar to the interests sold in prior transactions, as well as the extent to which the sellers were reasonably knowledgeable as to the fair market value of their interests at the time of sale. Prior transactions of the Company's interests may be used as a reasonableness test of value determined under other approaches and methods.

Bona Fide Offers for Purchase of the Company

Even if not accepted, a bona fide arm's-length offer may provide objective evidence of value. An analysis of offers made to purchase the Company involves, among other things, investigation to determine the true arm's-length nature of parties to the proposal. Offers for purchase of the Company may be used as a reasonableness test of value determined under other approaches and methods.

Asset Approach

The asset approach is premised on the principle that the value of an entity can be determined by the value of its net assets. Under the asset approach, the valuation expert focuses on the balance sheet of an entity and considers the value of the underlying assets and liabilities, both tangible and intangible, as a means of determining the value of the equity. Assets include:

- Financial assets, such as cash and accounts receivable
- Physical assets, such as inventory, supplies, equipment, and real estate

Valuation Approaches

- Intangible assets

The asset valuation process is performed under one of four premises:

- In continued use, as part of a going concern.
- In place, as a mass assemblage of assets.
- In exchange, as part of an orderly disposition.
- In exchange, as part of a forced liquidation.

The asset approach, also referred to as the net asset value or NAV approach, is generally most appropriate when valuing a real estate holding entity, an investment entity, or an entity that is incurring losses or is only marginally profitable. This approach is generally not used when the entity has intangible assets because it is difficult to assign values to intangible assets without the use of another valuation approach. Typically, the income or market approach is used to capture the value of entities with both tangible and intangible assets.

Summary

Income Approach

Recognizing the nature of the Company's business and its anticipated earning capacity, we believe the income approach is appropriate for valuing the Company. We have selected the discounted cash flow method as the most appropriate method because of the Company's expectations for varying growth rates in revenue in the upcoming years. The following section of this report describes the details of our analysis.

Market Approach

Guideline Company Method

The size and operating characteristics of the Company may lend itself to a reasonable application of the market approach using the guideline company method. However, because we found inadequate information for publicly traded companies that operate in the same or similar industry to the Company, we have not considered this market approach.

Valuation Approaches

A complication in applying the guideline company method is that exact comparability of any two companies, whether closely held or publicly traded, is usually not attainable. However, reasonable similarities may be identified, including common economic and industry influences, and in such instances guideline company data can be developed and used.

We performed a search for guideline companies using the Capital IQ database. This database provides comprehensive information on approximately 69,000 publicly held companies. These companies trade securities on the New York, American, and regional stock exchanges, the NASDAQ system, Over-the-Counter in the U.S., and on various exchanges in Canada and abroad. This database provides access to capitalization, corporate background, and financial data including annual reports, SEC filings and recent interim financial statements.

In our search for guideline companies, we used the following criteria (with corresponding number of matches):

Selection of Guideline Companies	
Criteria	Matches
[1] Company Type: Public Company	69,086
[2] Geographic Locations: United States of America	19,343
[3] Exchanges (Primary Listing): Major U.S. Exchanges	4,719
[4] Industry Classifications: Catering Services (Primary)	4

Our database search resulted in four companies that matched the search criteria above. The business descriptions of the companies identified were examined to determine if they had operations similar enough to the Company to provide a meaningful comparison. The guideline companies analyzed were significantly different than the Company in terms of size, services offered, markets served, customer base, etc. Due to the differences between the guideline companies and the Company, we concluded that it was not sufficiently comparable to draw meaningful conclusions. Based on our search and management interviews, we concluded that a reasonable application of the guideline company method could not be performed.

Valuation Approaches

Merger and Acquisition Method

We performed a search for transactions in the Company's industry using Capital IQ, a database tracking transactions of privately owned companies. In our search for guideline transactions, we used the following criteria (with corresponding number of matches):

Selection of Guideline Transactions		
	Criteria	Matches
[1]	Geographic Locations (Target/ Issuer): United States of America	895,528
[2]	Transaction Types: Merger/ Acquisition	350,954
[3]	Transaction Status: Closed	316,419
[4]	All Transactions Closed Date: [6/ 30/ 2018 - 6/ 30/ 2021]	49,236
[5]	Industry Classifications (Target/ Issuer): Catering Services	29
[6]	Total Transaction Value (\$USDmm, Historical rate): is greater than 0	1
[7]	Implied Enterprise Value/ EBITDA (x): is greater than 0	-

We searched the transaction database and identified all transactions consummated within the three year window prior to the Valuation Date and involving a target company operating in a similar industry as the Company, with U.S. headquarters and total transaction value and EBITDA multiple greater than zero.

There were no transactions which met our search criteria. Accordingly, we concluded that a reasonable application of the merger and acquisition method could not be performed.

Prior Transactions

Management indicated that over the past five years, there have been no arm's length transactions in the Company.

Bona Fide Offers for Purchase of the Company

Management indicates that neither the Company nor its members have received any bona fide offers for purchase of the assets of or equity interests in the Company.

Valuation Approaches

Asset Approach

Considering the anticipated profitability of the Company, management's intentions to continue operations and the inability of a non-controlling shareholder to compel a sale or liquidation, we concluded not to utilize the asset approach.

Income Approach

Income Approach

Discounted Cash Flow Method

We utilized the income approach, specifically the discounted cash flow (“DCF”) method to determine the fair market value of the equity in HMS. The discounted cash flow method involves projecting future cash flows and a residual or terminal value. The cash flows and the terminal value are then discounted to present value using an appropriate discount rate that takes into consideration, among other things, the risks associated with realizing the projected benefits based on required rates of return in the marketplace. A residual or terminal value is determined based on a capitalization of cash flow projected for the last period of the projection period (the residual year) and discounting that residual value to present value using the selected discount rate. We have concluded to use the equity rate of return to compute the discount rate. When an equity rate of return is used, the calculated value of equity is computed directly.

Determination of Projected Cash Flow to Equity

The determination of the relevant cash flow involves adjusting estimated future earnings to arrive at net cash flow, which is the cash flow available for all equity holders of the Company. Included in these adjustments are anticipated reinvestments required for HMS’ future growth: working capital and capital expenditures. Following is the formula for converting earnings to cash flow to equity:

	Normalized pre-tax income
-	Federal and state income taxes
=	Normalized after-tax earnings
+	Depreciation and amortization
-	Expected capital expenditures
+/-	Increase/decrease in working capital requirements
=	Cash flow to equity

Cash flow to equity is forecast over a discrete period of time and discounted to indicate a present value. The residual value of the Company at the end of the discrete forecast period is also discounted to indicate a present value. The sum of these two present values represents the maximum amount that a prudent investor would pay for the operating equity. Additionally, this represents the value of the operating equity to its owners and creditors. Once the value of the business enterprise is known, the value of the equity can be determined by adjusting it for non-operating items.

Income Approach

Projection Assumptions

The following assumptions were developed regarding the Company's anticipated future performance and considered projections provided by management for the fiscal years ending June 30, 2022 through 2028 (the "Projections"), interviews with management, and a review of historical financial results. The Company's projected income statement is presented on Appendix E, Schedules 3 and 4.

Net Revenue Assumptions

- For the projected fiscal years ending June 30, 2022 through 2028, net revenue was projected consistent with the Projections. In subsequent years, annual revenue growth was tapered down to an inflationary growth rate of 3.0 percent in the residual.

Expense Assumptions

- For the projected fiscal years ending June 30, 2022 through 2028, operating expenses were projected consistent with the Projections.
- In subsequent years, operating expenses were projected as a percent of revenue implied from prior years.

Normalization Adjustments

- In each projection period, officers' life insurance expense, estimated at \$15,000 per year, was added back to company profit before taxes as the expense is related to a non-operating asset.

Cash Flow

It is necessary to adjust projected pre-tax income to arrive at cash flow. Included in these adjustments are anticipated reinvestments required for future growth such as working capital and capital expenditures. The assumptions utilized to project cash flows for the Company are described below. Cash flow projections are presented in detail on Appendix E, Schedule 2.

- An assumed level of federal taxes (21.0 percent) was subtracted from pre-tax income to determine after-tax earnings.
- Incremental net working capital requirements were projected at negative 4.0 percent of the projected increase in net revenue based on a review of historical net working capital levels and management interviews.

Income Approach

- We have adjusted cash flows for the anticipated investment in project advances. We have estimated the associated debt to be equal and offsetting to the project advances. The net change in project advances was projected based on an analysis of historical advances made and received.
- In the residual period, depreciation was projected to equal 97.0 percent of capital expenditures.

Discount Rate

An important part of the discounted cash flow method is the development of a discount rate. The calculation of the Company's discount rate is illustrated in Appendix E, Schedule 6. Considering the Company is relatively debt-free with the project advances funding a majority of the Company's debt, we have concluded to use the equity rate of return, as explained below, to compute our capitalization rate. When an equity rate of return is used, the calculated value of equity is computed directly.

Equity Rate of Return

The equity rate of return was developed using the build-up approach. In the build-up approach, we considered rates of return available from risk free investments in the marketplace adjusted for the equity risk premium, the small stock premium required by small stock investors, and industry/company-specific risk factors.

The general formula for developing the equity rate of return when utilizing the build-up approach follows:

$$R_e = R_f + ERP + SP + CSRP$$

Where:

- | | | |
|-------|---|--|
| R_e | = | Expected return at the Valuation Date. |
| R_f | = | Risk free rate, as reflected by the expected yield to maturity on 20 year U. S. Treasury Bonds as of the Valuation Date. |
| ERP | = | Equity risk premium, the expected future returns in excess of the risk free rate that investors expect to receive by investing in a broad index of common stocks, such as the S&P 500 stock composite average. Long-horizon expected equity risk premium (supply side) is defined as the |

Income Approach

historical equity risk premium (large company stock total returns minus long-term government bond income returns) minus growth in price-to-earnings ratio calculated using three-year average earnings. Analysts believe that the supply-side ERP is more reflective of the expected equity risk premium than the historical equity risk premium.

SP = Size premium, an additional premium the market adds for risk associated with investing in smaller companies. Empirical evidence demonstrates that as the size of a company decreases, the risks to that company increase.

The size premiums were estimated with reference to the Duff & Phelps Cost of Capital Navigator. Duff & Phelps created a series of ten size-based portfolios of equities (referred to as 'deciles'), based upon relative market capitalization. The returns associated with each decile were then computed over a long-term time horizon and compared with the expected returns based upon the riskiness of each decile and the equity risk premium. The 'excess' return realized by each decile is the size premium. The size premium for the Company was estimated based upon where its market capitalization would fall in Duff & Phelps' decile structure. The Company's size premium is estimated at the premium indicated for the 10th decile.

CSRP = Company specific risk premium, an adjustment for industry and specific company risk. Some of the general factors to be considered include:

- | | |
|---|---|
| ▪ Business risk | ▪ Financial risk |
| ▪ Size of the Company relative to small, capitalized stocks considered in the micro-cap size premium. | ▪ Leverage (amount of debt financing relative to equity financing). |
| ▪ Historical performance. | ▪ Coverage (the Company's ability to provide a return to its debt holders). |
| ▪ Management strength and depth. | ▪ Liquidity (the Company's ability to meet current obligations with its liquid assets). |
| ▪ Stability of the subject industry. | |

Income Approach

In assessing the company specific risk premium at 7.0 percent, we considered, among other things, the size of the Company, the Company's recent financial performance, the risk of realizing the expected future returns, and the condition of the industry and economy as a whole. As detailed in Appendix E, Schedule 6, we believe an appropriate equity rate of return is 20.0 percent.

Capitalization Rate

We have estimated that a long-term sustainable cash flow growth rate of 3.0 percent is reasonable. Subtracting this long-term growth rate from the Company's WACC discount rate results in a capitalization rate of 17.0 percent (rounded). This capitalization rate was applied to cash flow in the residual period to arrive at the estimated residual value.

Summary of Value

Total Equity Value - Discounted Cash Flow Method

As computed in Appendix E, Schedule 2, adding the present value of the discrete period cash flows (2022 to 2030) and the present value of the capitalized residual value, results in the Company's indicated total equity value of \$1.7 million.

Non-Operating Assets

An asset/liability owned by the Company that is unrelated or unnecessary to its operations is referred to as a non-operating asset/liability, the value of which must be added to determine the value of 100.0 percent of equity. As of the Valuation Date, we determined that HMS had two non-operating assets. Excess cash of \$1.5 million and cash value of officers' life insurance of \$3,020.

We added the non-operating assets to the equity value to arrive at the value of 100.0 percent of equity on a marketable, controlling interest basis of \$3.2 million.

Adjustments to Equity

Because the Subject Interest represents a non-marketable, non-controlling interest, it is appropriate to consider a discount for limited control and a discount for lack of marketability. These discounts are discussed in the following sections.

Discount for Limited Control

Discount for Limited Control

The valuation approach used to arrive at total equity value results in a value that represents a controlling interest. The valuation of a 50.0 percent interest in a closely held company includes unique valuation considerations. Generally, valuation of a non-controlling interest does not include consideration of certain items that would be considered if a controlling interest were being valued. For example, the holder of a controlling interest could choose to acquire or dispose of assets, restructure the capital of the company to increase lines of credit and long-term bank debt, or implement a different cash management plan. However, a minority or otherwise non-controlling shareholder cannot make these changes.

In this circumstance, we are valuing a 50.0 percent interest in HMS. In this circumstance, no one shareholder is solely in control of the Company, but a 50.0 percent shareholder has the capacity to block the implementation of management decisions made by the other shareholder. With each shareholder, or group of shareholders holding this power, we believe it is reasonable to assume that the shareholders would act in the economic best interest of HMS to maximize earnings and cash flow, rather than deal with the consequences of deadlock.

Recognizing the above facts, we believe a discount for limited control of 5.0 percent is appropriate to apply to the indicated pro-rata value in order to reflect the inability of a 50.0 percent shareholder to make unilateral decisions.

Discount for Lack of Marketability

Discount for Lack of Marketability

Overview

Marketability is the ability to quickly convert an asset to cash, with minimal cost and maximum certainty about the price that will be received. If an asset is not readily marketable, a marketability discount is appropriate.

Stocks actively traded in a public market generally are recognized as the benchmark for marketability, or lack thereof, of a security. Such stocks are sold in seconds, at or very close to the last transaction price, with low transaction costs, and with proceeds delivered to the seller in three business days. Since there is no ready market for interests of closely held companies such as the Company, a discount for lack of marketability is needed. The appropriate rate is governed by the specific facts and circumstances surrounding the Subject Interest under consideration. Guidance for that rate is available in two general types of empirical studies of actual market transactions, each designed to indicate an average level of discount for lack of marketability for non-controlling interests in closely held companies:

- Studies of restricted stock of publicly traded companies (“restricted stock studies”).
- Studies of private transactions prior to initial public offerings (“IPO studies”).

The following sections summarize the findings of these two types of studies.

Restricted Stock Studies

Restricted stock is generally defined as stock of a public company that is identical in all respects to its freely traded stock except that it is restricted from trading on the open market for some period of time. The term “restricted stock” is often used synonymously with “unregistered stock” or “letter-stock,” and most of the available data for these studies involve private placements of unregistered stock. Studies of such stock have been undertaken to identify the value of marketability separate from other factors. To identify the value of marketability, these studies compared the share prices in restricted stock transactions with the prices on the same day of freely tradable shares of stock. This difference is broadly recognized as the value of marketability.

The restrictions on the transfer of restricted public company stock eventually lapse. At that point, investors can sell the shares into the existing market, subject to any restrictions imposed by the Securities and Exchange Commission (“SEC”) Rule 144. Shares of closely held stock, however, may never have the benefit of a public market. As a result, investors generally expect a higher discount

Discount for Lack of Marketability

for lack of marketability than that applicable to the restricted stock of a public company. The average of the discounts reported in restricted stock studies conducted from 1966 through 1996 (known as the “Benchmark Average”) was 33 percent.

The provisions of Rule 144 of the SEC include the following:

- Holding period – Restricted shares must be held for at least six months before they can be sold (the holding period was two years prior to February 1997 and one year prior to April 2008).
- Adequate current information – There must be adequate current information about the issuer of the securities before a sale can be made.
- Filing notice with the SEC – For sales involving more than 500 shares or \$10,000 in aggregate over a three-month period, the seller must file a notice with the SEC.
- Trading volume formula – After the one-year holding period, the number of shares that may be sold by any holder during any three-month period cannot exceed the greater of 1 percent of the outstanding shares of the same class being sold, or if the class is listed on a stock exchange or quoted on Nasdaq, the greater of 1 percent or the average reported weekly trading volume during the four weeks preceding the filing of a notice of the sale.
- Ordinary brokerage transactions – The sale must be handled as a routine trading transaction, and brokers may not receive more than a normal commission.

Sellers who are not affiliated with the issuer and who have held the restricted securities for two years can sell them without regard to the above restrictions. However, even if Rule 144 conditions for sale have been met (regardless of whether or not the seller is an affiliate of the issuer), restricted shares may not be sold to the public without the consent of the issuer of the securities.

In light of the limitations of Rule 144 on the transfer of restricted shares, especially the limitations on the number of shares as a percentage of the shares outstanding and the trading volume of the corresponding publicly traded shares, it is logical that discounts noted in the restricted stock transactions will increase with the size of the block of stock being sold. Because of Rule 144 provisions, acquirers of larger blocks of stock are required to hold a portion of the acquired shares for a longer period of time and, therefore, demand higher discounts as compensation for the corresponding increase in risk.

An investor in the Company would have no assurance that there would ever be a public market for an equity interest in the Company.

Discount for Lack of Marketability

Stout Restricted Stock Study

The Stout Restricted Stock Study™ (“Stout Study”) is a database of 786 transactions in restricted stock compiled from July 1980 to February 2017 by Stout Risius Ross, Inc. (“Stout”), a valuation advisory firm. The Stout Study is believed to be the most comprehensive restricted stock database available today.

The transactions used in the Stout Study were discovered through searches utilizing a number of sources, including EDGAR, Dow Jones News Retrieval, Disclosure CompactD, and S&P Corporate Transactions Records.

The average and median discounts for the transactions in the Stout Study for each holding period are summarized below:

- Two year holding period (pre-1997): average discount of 23.7 percent and median discount of 22.1 percent.
- One year holding period (pre-2008): average discount of 21.5 percent and median discount of 15.7 percent.
- Six month holding period (current): average discount of 14.6 percent and median discount of 11.4 percent.

The relevant implications from the Stout Study indicate discounts for lack of marketability typically do not vary significantly by industry classification. It appears that the primary determinants of the lack of marketability discount relate to financial risk characteristics and degree.

The impact of risk on the marketability discount is quite significant. Logically, the smaller, less profitable entities with a higher degree of balance sheet risk tend to have much higher discounts as opposed to larger, more profitable entities with little balance sheet risk.

Company size can be measured by considering revenue, total assets, and book value. Typically, larger companies are perceived to have less risk than smaller companies, resulting in lower discounts.

Profitability is another indicator for company risk. A company that is profitable is generally regarded as a less risky investment than investment in a company that is reporting losses. The Stout Study provides evidence that there is a correlation between profitability and lack of marketability discounts in restricted stock transactions.

Discount for Lack of Marketability

Pre-IPO Studies

As noted above, the restrictions on restricted stock eventually lapse, whereas the shares of closely held stock may never have the benefit of a public market. Two studies were undertaken to deal with this distinction. Both studies used data from registration statements – forms that a company must file with the SEC prior to offering its securities to the public. The studies compared prices of private transactions to the prices of subsequent initial public offerings in the stock of the same companies.

Emory Business Valuation, LLC Studies

A number of studies were conducted under the direction of John D. Emory, vice president of appraisal services at Emory Business Valuation, LLC (“Emory”), a regional investment banking firm. The studies covered the years 1980 through 2000.

The studies focused on companies with initial public offerings of stock. The methodology was to examine prospectuses for initial public offerings and determine the relationship between the price at which the stock was initially offered to the public and the price of private transactions that took place up to five months prior to the initial public offering.

The transactions in these studies occurred when there was not yet an established secondary market for the subject stock. The average of 46 percent for these nine studies, compared to the overall average of 33 percent for the restricted stock studies, supports the proposition that investors generally expect a higher discount for lack of marketability for closely held stock compared to restricted stock.

Willamette Management Associates Studies

Willamette Management Associates (“Willamette”) conducted a series of studies covering the years 1975 through 2000. These studies differed from the Emory studies in a couple of significant respects. One important difference is that Willamette used complete SEC registration statements, as opposed to prospectuses, which are just a portion of the registration statements. The prospectus discloses only transactions with affiliated parties. Registration statements require disclosure of all private transactions in the stock within the three years prior to the public offering in a section of the registration statement separate from the prospectus.

The other important difference is the Willamette studies included private transactions during the full three years prior to the initial public offering. Because of the long time period, Willamette made adjustments to the data based on the differences in the relevant industry average price/earnings multiples between the time of the private transactions and the public offerings.

Discount for Lack of Marketability

The averages of the means and medians of the discounts in the Willamette studies is 48 percent and 50 percent, respectively. Like the Emory studies, the Willamette studies support the proposition that investors generally expect a higher discount for lack of marketability for closely held stock as compared to restricted stock.

Valuation Advisors, LLC Pre-IPO Studies

Valuation Advisors, LLC (“VA Study”) has compiled a database of companies that have had initial public offerings from 1986 through 2017. The most recent study contains over 13,700 transactions. It compares the initial public offering stock price to the pre-IPO common stock, common stock option, and convertible preferred securities prices. These market based transactions provide an indication of the lack of marketability discount afforded the pre-IPO instruments because of their illiquidity when issued by a privately held company. While other factors can influence the change in value from the pre-IPO price, it is logical that the liquidity factor accounts for a significant portion of the change in value.

We performed an analysis of transactions reported in this database. We searched for transactions involving all U.S. based companies that reported positive earnings and where the transaction occurred within two years of the IPO filing date. Our search yielded 2,847 pre-IPO transactions. The indicated mean marketability discount was 39.8 percent and the median discount was 42.3 percent.

Statistic	Count	Range	Mean	Median
Transaction Date	4,343	6/30/1985 – 9/29/2017	N/A	N/A
IPO Date	4,343	3/14/1986 – 12/14/2017	N/A	N/A
Revenues	4,343	\$825,800 - \$30,683,000,000	\$635,164,992	\$116,385,000
IPO Price Per Share	4,343	\$3.25 - \$91.00	\$15.60	\$15.00
Transaction Price Per Share	4,343	\$0.10 - \$97.03	\$7.86	\$6.50
Marketability Discount for Pre-IPO <= 2	2,847	-312.4% - 99.4%	39.8%	42.3%

Subject Company Analysis

In all of the above-mentioned studies, each of the transactions investigated occurred as a result of negotiations through which investors arrived at an acceptable transaction price after considering all the specific facts and circumstances surrounding the transaction. The same consideration should be made for the Subject Interest in the Company.

Discount for Lack of Marketability

Christopher Mercer, in his text entitled Quantifying Marketability Discount, identified the following factors he believes are considered by investors when making an investment decision, and which influence the size of a discount for lack of marketability:

- Expected growth in value.
- Dividend yield.
- Term of investment or probable holding period.
- Prospects for liquidity.
- Investor's required holding period return.

The United States Tax Court has suggested the following factors, among others, as those that should be considered in arriving at an appropriate lack of marketability discount:

- Company's dividend paying capacity, history of paying dividends, and amount of prior dividends.
- Degree of control transferred with the block of stock to be valued.
- Any restriction on the transferability of the company's stock.
- Period of time for which an investor must hold the subject stock to realize a sufficient profit.
- Company's redemption policy.

In our opinion, a hypothetical willing seller and hypothetical willing buyer would consider the following factors to be especially significant in determining an appropriate lack of marketability discount for an interest in HMS:

- Expected Dividends
- Contractual Restrictions on Transferability
- Prospective Holding Period of Shareholder's Interest

We considered each of the above factors as follows:

Discount for Lack of Marketability

Distribution Policy

The Company has not paid distributions in the past, but management anticipates future distributions in upcoming years. Because potential investors can anticipate annual distributions in upcoming years, this factor supports a discount for lack of marketability within the ranges indicated by the studies.

Contractual Restrictions on Transfer

Restrictions exist limiting the transfer of shares. This factor tends to increase the discount for lack of marketability since it is likely a potential purchaser would be reluctant to devote the time and expense necessary to develop an offer knowing that the Company or other shareholders are not permitted to transfer stock. Further, if a shareholder offered to sell their interest to the Company or another shareholder, there is no guarantee the Company or shareholder would be willing to purchase the interest. This factor supports a discount for lack of marketability within the ranges indicated by the studies.

Prospective Holding Period

An appropriate discount for lack of marketability is greatly influenced by the anticipated holding period of the investment. The stocks in the restricted stock studies were generally expected to gain liquidity in one to three years. Conversely, a sale or liquidation of the Company is not contemplated in the near term and management does not anticipate a sale of the Company for the foreseeable future.

Furthermore, if a hypothetical investor in the Company were to choose to sell his or her investment in the Company, no ready market exists. Potential investors in the Company face additional uncertainty regarding the period of time that they will have to hold the stock before receiving any capital gains through a sale or liquidation. The low probability for a future liquidity event supports a discount for lack of marketability within the ranges indicated by the studies.

Conclusion

Accordingly, we believe that a lack of marketability discount of 5.0 percent is appropriate to apply to the indicated marketable value of the Company to determine a non-marketable, non-controlling value. This discount takes into consideration the specific facts and circumstances surrounding the Subject Interest.

Valuation Conclusion

Valuation Conclusion

Based on our analysis, and subject to the accuracy and completeness of the information provided, as well as the reasonableness of assumptions and estimates required, it is our opinion that the fair market value of a 50.0 percent interest in the equity of Hallmark Management Service, Inc. on a non-marketable, non-controlling interest basis, as of June 30, 2021, was:

\$1,431,800 (rounded)

One Million Four Hundred Thirty One Thousand Eight Hundred Dollars

Assumptions and Limiting Conditions

Appendix A

Appendix A - Assumptions and Limiting Conditions

1. Except as noted, we have relied on the representations of the owners, management, and other third parties concerning the value and useful condition of all equipment, real estate, investments used in the business, and any other assets or liabilities, except as specifically stated to the contrary in this report. No investigation of the title to the Company's assets has been made and the owners' claim to the assets is assumed to be valid. No consideration has been given to liens or encumbrances that may exist against the subject Company or its assets except as specifically stated in this report.
2. The valuations reflected herein are not intended to represent the values at any time other than the date of valuation and no responsibility is assumed to update this report for events occurring after the date of valuation.
3. The market value of any business, asset, liability, or any interest therein, is a matter of informed judgment. The purchase/selling price is set by the parties involved in the transaction, based on each party's respective evaluation of all relevant factors. No responsibility is assumed for the subject Company's or an interest holder's ability to find a purchaser for the Company or the interest at the calculated values.
4. No responsibility is assumed for information furnished by others, including management, which information has been accepted as reliable.
5. No responsibility is assumed for matters of a legal nature that may have an impact on our valuations.
6. In this assignment, the existence of potentially hazardous material or substances used in the construction or maintenance of the Company's facilities or the conduct of their operations has not been considered. The valuation analyst is not qualified to detect such substances or ascertain the risks associated with them.
7. This report is intended for the purpose stated and should not be used for any other purpose.
8. The entire report is required to support the valuation estimate and no separate portion of the report may be used for any purpose without the written permission of Plante & Moran, PLLC.

Appendix A - Assumptions and Limiting Conditions

9. Neither this report, nor any parts thereof, shall be disseminated through advertising, public relations, news, sales, Securities and Exchange Commission disclosure documents, or any other public or private media without the prior written approval of Plante & Moran, PLLC.
10. Testimony or assistance with the Internal Revenue Service by reason of this appraisal shall not be required without specific arrangements.
11. Certain historical financial data and other data used in our valuation engagement have been provided by the Company's management. As part of this engagement, we have not independently verified the accuracy or completeness of that data and do not express an opinion or other form of assurance regarding its accuracy or completeness.
12. The value conclusion reflected herein is the professional opinion of the signers of this report. Our analysis was conducted in accordance with standards developed by the Business Valuation Committee of the American Society of Appraisers and applicable professional standards of the American Institute of Certified Public Accountants. Although we understand that this valuation will be used for estate tax reporting purposes, it is not intended as a guarantee of the conclusion that might be reached by any taxing authority.
13. Any estimates of future operating results presented herein are included solely to assist in the valuation presented in this report and they should not be used to obtain credit or for any other purpose. These presentations were not prepared in accordance with the guidelines established by the American Institute of Certified Public Accountants for the presentation of financial forecasts and projections. We have not compiled or examined these presentations and express no assurance on them.
14. The Internal Revenue Service has issued regulations that require written advice regarding tax matters to meet very detailed and comprehensive requirements before it can be relied upon by a taxpayer to avoid penalties that might apply if the tax benefits or results discussed in the document are disallowed. Compliance with these rigorous standards and requirements exceeds the scope of this engagement. Consequently, the analysis contained in this report is not intended to be used, and may not be relied upon by you, for the purpose of avoiding any federal tax penalty.

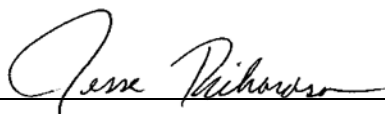
Certifications

Appendix B

Appendix B - Certifications

We certify that, to the best of our knowledge and belief:

1. The statements of fact contained in this report are true and correct.
2. The reported analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions, and is our personal, impartial, and unbiased professional analyses, opinions, and conclusions.
3. Plante & Moran, PLLC and the person(s) signing this report have no present or prospective interest in the property that is the subject of this report, and no interest or bias with respect to the parties involved.
4. Plante & Moran, PLLC and the person(s) signing this certification have performed no services as an appraiser regarding the property that is the subject of this report within the three-year period immediately preceding acceptance of this assignment.
5. Plante & Moran, PLLC's engagement in this assignment was not contingent upon developing or reporting predetermined results.
6. Plante & Moran, PLLC's compensation for completing this assignment is not contingent upon the development or reporting of a predetermined value or direction in value that favors the cause of the client, the amount of the value opinion, the attainment of a stipulated result, or the occurrence of a subsequent event directly related to the intended use of this report.
7. This report is intended to conform to the requirements included in the Standards for Valuation Services ("SSVS") of the American Institute of Certified Public Accountants and the Principles of Appraisal Practice and Code of Ethics of the American Society of Appraisers ("ASA") as well as the Uniform Standards of Professional Appraisal Practice ("USPAP") of the Appraisal Foundation.
8. This report was developed and signed by Jesse L. Richardson, ASA, CFE. Todd W. McGuire, ASA and Jack D. Mandryk provided professional assistance in the development of this report.
9. The American Society of Appraisers has a mandatory recertification program for all of its senior members. All Plante & Moran, PLLC senior members are in compliance with that program.



Jesse L. Richardson, ASA, CFE
Partner

Statement of Qualifications

Appendix C

Appendix C - Statement of Qualifications

Plante Moran, PLLC

Plante & Moran, PLLC is a full-service public accounting and management consulting firm with more than 350 partners who are supported by more than 3,800 professionals in 25 offices throughout Michigan, Ohio, Illinois, Colorado, and international offices in Shanghai, China, Monterrey, Mexico, Mumbai, India, and Tokyo, Japan. Founded in 1924, we are ranked among the nation's top 10 accounting and management consulting firms, and we are one of the largest organizations of our kind.

Our client base is extremely diversified, and cuts across public and private sectors to include a variety of industries and organizations. We specialize in serving industries such as real estate and land development, manufacturing, construction, financial services, associations, retail, healthcare, colleges and universities, municipalities, school districts, legal and other professional service firms, and not-for-profit organizations, among others.

Our Forensic & Valuation Services Group has been involved in thousands of business valuation and litigation engagements.

Business valuation engagements:

- Financial reporting
- Management planning
- Mergers and acquisitions
- Estate and gift taxes
- Healthcare compliance
- Shareholder redemptions
- Shareholder disputes
- Buy / sell agreements
- Tax planning
- Marital dissolutions
- ESOP's

Litigation engagements:

- Damage analysis
- Accounting issues
- Accountants professional malpractice
- Bankruptcy matters
- Antitrust matters
- Employment / wrongful death matters
- Business interruption claims
- Breach of contract

We have also had significant experience as arbitrators.

The work on this engagement was performed by Jesse L. Richardson, ASA, CFE whose Curriculum Vitae follow.

Appendix C - Statement of Qualifications

Jesse L. Richardson, ASA, CFE

Partner, Forensic & Valuation Services, Plante Moran, PLLC

Experience

- Mr. Richardson has over 20 years of business valuation experience including valuation of numerous ownership interests in closely held business and intangible assets for a wide variety of purposes including management planning, financial reporting U.S. GAAP (ASC 350, 360 and 805) and IFRS (IFRS 3 and IAS 38), gift and estate tax, employee stock ownership plans, C to S conversion, shareholder disputes, shareholder redemptions, and acquisition/sale advisement, among others. Mr. Richardson has performed evaluations of valuation work prepared by other professionals. He has performed valuation services in industries such as manufacturing, distribution, transportation, retailing, health care, office furniture, professional practices and construction. In addition, he has provided valuations for holding companies, including property management, real estate partnerships, and family limited partnerships.

Education

- Hope College, Bachelor of Arts, Economics and Business Administration
- American Society of Appraisers – Successfully completed coursework and examinations for the following:
 - BV201: Introduction to Business Valuation;
 - BV202: The Income Approach to Valuation;
 - BV203: The Market Approach to Value;
 - BV204: Business Valuation Case Study;
 - USPAP: Uniform Standards of Professional Appraisal Practice; and
 - ASA Ethics: Principles and Ethics.

Professional

- Certified Fraud Examiner (“CFE”) - Association of Certified Fraud Examiners
- Accredited Senior Appraiser (“ASA”) – American Society of Appraisers (Business Valuation Discipline)

Historical Financial Results

Appendix D

Hallmark Management Service, Inc.

Appendix D, Schedule 1

Historical Income Statements [1]

	For the Fiscal Year Ended,				
	6/28/2017	6/27/2018	6/26/2019	6/24/2020	6/30/2021
Net Revenue	\$ 7,222,398	\$ 8,854,191	\$ 10,824,035	\$ 9,625,074	\$ 10,683,252
<i>Annual Growth</i>	<i>N/A</i>	<i>22.6%</i>	<i>22.2%</i>	<i>(11.1%)</i>	<i>11.0%</i>
Cost of Goods Sold	2,378,523	2,676,280	3,075,124	2,521,366	2,659,027
Gross Profit	4,843,875	6,177,911	7,748,911	7,103,708	8,024,225
Operating Expenses					
Contract Fees	66,223	202,122	302,543	403,282	417,521
Data Processing	120,923	133,974	231,431	245,576	293,956
Depreciation	83,156	85,941	92,588	66,087	51,531
Insurance	44,884	49,900	89,113	64,919	69,614
Laundry and Uniforms	74,076	102,193	132,228	68,576	62,911
Paper	140,971	143,999	152,853	99,798	190,734
Payroll and Related	3,670,648	4,631,818	5,648,465	5,166,104	5,954,692
Rent	161,449	163,109	168,903	110,216	119,255
Other Operating Expenses	403,035	589,017	754,754	562,511	550,285
Total Operating Expenses	4,765,365	6,102,073	7,572,878	6,787,069	7,710,499
Operating Income	78,510	75,838	176,033	316,639	313,726
Other Income (Expense)					
Interest Expense	(59,473)	(59,580)	(43,862)	(117,339)	(92,120)
PPP Loan	-	-	-	-	1,124,290
Discontinued Operations	-	-	-	(95,399)	(91,694)
Total Other Income (Expense)	(59,473)	(59,580)	(43,862)	(212,738)	940,476
[2] Pretax Income	19,037	16,258	132,171	103,901	1,254,202
Income Tax Expense	7,000	2,384	37,227	83,682	85,494
Net Income	\$ 12,037	\$ 13,874	\$ 94,944	\$ 20,219	\$ 1,168,708
EBIT	\$ 78,510	\$ 75,838	\$ 176,033	\$ 221,240	\$ 1,346,322
Plus: Depreciation and Amortization	83,156	85,941	92,588	66,087	51,531
EBITDA	\$ 161,666	\$ 161,779	\$ 268,621	\$ 287,327	\$ 1,397,853
[3] Normalization Adjustments					
Less: Income from PPP Loan	-	-	-	-	(1,124,290)
Plus: Discontinued Operations	-	-	-	95,399	91,694
Adjusted EBIT	\$ 78,510	\$ 75,838	\$ 176,033	\$ 316,639	\$ 313,726

Notes:

[1] Source: Reviewed financial statements for the years ended June 30, 2017 to 2020 prepared by Joseph R. Weaver, CPA and reviewed financial statements for the year ended June 30, 2021 prepared by Frush Consulting, LLC.

[2] Earnings before federal taxes.

[3] Non-recurring / non-operating items were removed.

Hallmark Management Service, Inc.

Appendix D, Schedule 2

Common Size Historical Income Statements

	For the Fiscal Year Ended,				
	6/28/2017	6/27/2018	6/26/2019	6/24/2020	6/30/2021
Net Revenue	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of Goods Sold	32.9%	30.2%	28.4%	26.2%	24.9%
Gross Profit	67.1%	69.8%	71.6%	73.8%	75.1%
Operating Expenses					
Contract Fees	0.9%	2.3%	2.8%	4.2%	3.9%
Data Processing	1.7%	1.5%	2.1%	2.6%	2.8%
Depreciation	1.2%	1.0%	0.9%	0.7%	0.5%
Insurance	0.6%	0.6%	0.8%	0.7%	0.7%
Laundry and Uniforms	1.0%	1.2%	1.2%	0.7%	0.6%
Paper	2.0%	1.6%	1.4%	1.0%	1.8%
Payroll and Related	50.8%	52.3%	52.2%	53.7%	55.7%
Rent	2.2%	1.8%	1.6%	1.1%	1.1%
Other Operating Expenses	5.6%	6.7%	7.0%	5.8%	5.2%
Total Operating Expenses	66.0%	68.9%	70.0%	70.5%	72.2%
Operating Income	1.1%	0.9%	1.6%	3.3%	2.9%
Other Income (Expense)					
Interest Expense	(0.8%)	(0.7%)	(0.4%)	(1.2%)	(0.9%)
PPP Loan	- %	- %	- %	- %	10.5%
Discontinued Operations	- %	- %	- %	(1.0%)	(0.9%)
Total Other Income (Expense)	(0.8%)	(0.7%)	(0.4%)	(2.2%)	8.8%
Pretax Income	0.3%	0.2%	1.2%	1.1%	11.7%
Income Tax Expense	0.1%	0.0%	0.3%	0.9%	0.8%
Net Income	0.2%	0.2%	0.9%	0.2%	10.9%
EBIT	1.1%	0.9%	1.6%	2.3%	12.6%
Plus: Depreciation and Amortization	1.2%	1.0%	0.9%	0.7%	0.5%
EBITDA	2.2%	1.8%	2.5%	3.0%	13.1%
Normalization Adjustments					
Less: Income from PPP Loan	- %	- %	- %	- %	(10.5%)
Plus: Discontinued Operations	- %	- %	- %	1.0%	0.9%
Adjusted EBIT	1.1%	0.9%	1.6%	3.3%	2.9%

Hallmark Management Service, Inc.

Appendix D, Schedule 3

Historical Balance Sheets [1]

	As of,				
	6/28/2017	6/27/2018	6/26/2019	6/24/2020	6/30/2021
Assets					
Current Assets					
Cash and Cash Equivalents	\$ 107,961	\$ 168,976	\$ 208,645	\$ 1,663,194	\$ 1,966,949
Accounts Receivable	173,408	187,256	154,612	81,333	327,462
Inventory	107,159	121,266	125,281	107,731	130,091
Prepaid Expenses	75,358	152,745	42,626	44,303	26,519
Prepaid Income Taxes	14,884	9,900	-	13,000	-
Deferred Income Taxes	1,900	1,100	800	400	400
Current Portion of Project Advances	148,148	164,516	288,176	236,311	304,456
Total Current Assets	628,818	805,759	820,140	2,146,272	2,755,877
Fixed Assets					
Kitchen Equipment	568,448	568,448	561,861	561,861	15,914
Data Processing Equipment	121,240	125,014	192,143	192,143	192,143
Office Equipment	76,861	80,215	80,215	80,215	24,922
Transportation Equipment	123,569	169,296	231,477	231,477	164,466
Plant Equipment	37,862	37,862	37,862	37,862	4,097
Less: Accumulated Depreciation	(566,349)	(633,522)	(719,577)	(816,880)	(322,125)
Net Fixed Assets	361,631	347,313	383,981	286,678	79,417
Other Assets					
Advances to Affiliate	76,731	141,478	108,272	65,649	43,392
Acquisition Deposits	-	34,500	-	-	-
Prepaid Expenses	-	-	29,700	25,899	9,900
Alcohol License	-	-	19,500	19,500	-
Project Advances - Net of Current Portion	550,734	449,003	680,912	1,520,198	1,694,755
Total Other Assets	627,465	624,981	838,384	1,631,246	1,748,047
Total Assets	\$ 1,617,914	\$ 1,778,053	\$ 2,042,505	\$ 4,064,196	\$ 4,583,341
Liabilities and Equity					
Current Liabilities					
Bank Note Payable	\$ 270,000	\$ 230,000	\$ -	\$ -	\$ -
Accounts Payable	139,805	272,435	228,046	122,037	131,747
Customer Deposits and Client Rebates Payable	23,682	168,572	265,726	282,181	493,036
Accrued Expenses	131,911	216,595	300,563	206,497	289,986
Stockholder Note Payable	83,060	43,059	-	-	-
Current Installments of Long-Term Debt	184,467	202,413	322,194	562,702	323,316
Income Taxes	-	-	23,900	-	39,900
Total Current Liabilities	832,925	1,133,074	1,140,429	1,173,417	1,277,985
Long-Term Liabilities					
Long-Term Debt - Net of Current Portion	711,228	560,744	720,197	1,572,061	1,206,165
[2] PPP Loan	-	-	-	1,117,420	1,456,385
Deferred Income Taxes	33,200	29,800	32,500	31,700	4,500
Total Long-Term Liabilities	744,428	590,544	752,697	2,721,181	2,667,050
Equity	40,561	54,435	149,379	169,598	638,306
Total Liabilities and Equity	\$ 1,617,914	\$ 1,778,053	\$ 2,042,505	\$ 4,064,196	\$ 4,583,341

Notes:

[1] Source: Reviewed financial statements for the years ended June 30, 2017 to 2020 prepared by Joseph R. Weaver, CPA and reviewed financial statements for the year ended June 30, 2021 prepared by Frush Consulting, LLC.

[2] Based on management interviews, the PPP loans were fully forgiven as of the valuation date.

Hallmark Management Service, Inc.

Appendix D, Schedule 4

Common Size Historical Balance Sheets

	As of,				
	6/28/2017	6/27/2018	6/26/2019	6/24/2020	6/30/2021
Assets					
Current Assets					
Cash and Cash Equivalents	6.7%	9.5%	10.2%	40.9%	42.9%
Accounts Receivable	10.7%	10.5%	7.6%	2.0%	7.1%
Inventory	6.6%	6.8%	6.1%	2.7%	2.8%
Prepaid Expenses	4.7%	8.6%	2.1%	1.1%	0.6%
Prepaid Income Taxes	0.9%	0.6%	- %	0.3%	- %
Deferred Income Taxes	0.1%	0.1%	0.0%	0.0%	0.0%
Current Portion of Project Advances	9.2%	9.3%	14.1%	5.8%	6.6%
Total Current Assets	38.9%	45.3%	40.2%	52.8%	60.1%
Fixed Assets					
Kitchen Equipment	35.1%	32.0%	27.5%	13.8%	0.3%
Data Processing Equipment	7.5%	7.0%	9.4%	4.7%	4.2%
Office Equipment	4.8%	4.5%	3.9%	2.0%	0.5%
Transportation Equipment	7.6%	9.5%	11.3%	5.7%	3.6%
Plant Equipment	2.3%	2.1%	1.9%	0.9%	0.1%
Less: Accumulated Depreciation	(35.0%)	(35.6%)	(35.2%)	(20.1%)	(7.0%)
Net Fixed Assets	22.4%	19.5%	18.8%	7.1%	1.7%
Other Assets					
Advances to Affiliate	4.7%	8.0%	5.3%	1.6%	0.9%
Acquisition Deposits	- %	1.9%	- %	- %	- %
Prepaid Expenses	- %	- %	1.5%	0.6%	0.2%
Alcohol License	- %	- %	1.0%	0.5%	- %
Project Advances - Net of Current Portion	34.0%	25.3%	33.3%	37.4%	37.0%
Total Other Assets	38.8%	35.1%	41.0%	40.1%	38.1%
Total Assets	100.0%	100.0%	100.0%	100.0%	100.0%
Liabilities and Equity					
Current Liabilities					
Bank Note Payable	16.7%	12.9%	- %	- %	- %
Accounts Payable	8.6%	15.3%	11.2%	3.0%	2.9%
Customer Deposits and Client Rebates Payable	1.5%	9.5%	13.0%	6.9%	10.8%
Accrued Expenses	8.2%	12.2%	14.7%	5.1%	6.3%
Stockholder Note Payable	5.1%	2.4%	- %	- %	- %
Current Installments of Long-Term Debt	11.4%	11.4%	15.8%	13.8%	7.1%
Income Taxes	- %	- %	1.2%	- %	0.9%
Total Current Liabilities	51.5%	63.7%	55.8%	28.9%	27.9%
Long-Term Liabilities					
Long-Term Debt - Net of Current Portion	44.0%	31.5%	35.3%	38.7%	26.3%
PPP Loan	- %	- %	- %	27.5%	31.8%
Deferred Income Taxes	2.1%	1.7%	1.6%	0.8%	0.1%
Total Long-Term Liabilities	46.0%	33.2%	36.9%	67.0%	58.2%
Equity	2.5%	3.1%	7.3%	4.2%	13.9%
Total Liabilities and Equity	100.0%	100.0%	100.0%	100.0%	100.0%

Hallmark Management Service, Inc.

Appendix D, Schedule 5

Historical Working Capital Analysis

	As of,				
	6/28/2017	6/27/2018	6/26/2019	6/24/2020	6/30/2021
Assets					
Current Assets					
Cash and Cash Equivalents	\$ 107,961	\$ 168,976	\$ 208,645	\$ 1,663,194	\$ 1,966,949
Accounts Receivable	173,408	187,256	154,612	81,333	327,462
Inventory	107,159	121,266	125,281	107,731	130,091
Prepaid Expenses	75,358	152,745	42,626	44,303	26,519
Prepaid Income Taxes	14,884	9,900	-	13,000	-
Deferred Income Taxes	1,900	1,100	800	400	400
Current Portion of Project Advances	148,148	164,516	288,176	236,311	304,456
Total Current Assets	628,818	805,759	820,140	2,146,272	2,755,877
Liabilities and Equity					
Current Liabilities					
Bank Note Payable	\$ 270,000	\$ 230,000	\$ -	\$ -	\$ -
Accounts Payable	139,805	272,435	228,046	122,037	131,747
Customer Deposits and Client Rebates Payable	23,682	168,572	265,726	282,181	493,036
Accrued Expenses	131,911	216,595	300,563	206,497	289,986
Stockholder Note Payable	83,060	43,059	-	-	-
Current Installments of Long-Term Debt	184,467	202,413	322,194	562,702	323,316
Income Taxes	-	-	23,900	-	39,900
Total Current Liabilities	832,925	1,133,074	1,140,429	1,173,417	1,277,985
Current Assets	\$ 628,818	\$ 805,759	\$ 820,140	\$ 2,146,272	\$ 2,755,877
Less: Cash and Cash Equivalents	(107,961)	(168,976)	(208,645)	(1,663,194)	(1,966,949)
Less: Current Portion of Project Advances	(148,148)	(164,516)	(288,176)	(236,311)	(304,456)
Cash-Free Current Assets Excluding Advances	372,709	472,267	323,319	246,767	484,472
Current Liabilities	\$ 832,925	\$ 1,133,074	\$ 1,140,429	\$ 1,173,417	\$ 1,277,985
Less: Short-Term Debt	(537,527)	(475,472)	(322,194)	(562,702)	(323,316)
Debt-Free Current Liabilities	295,398	657,602	818,235	610,715	954,669
Adjusted NWC	\$ 77,311	\$ (185,335)	\$ (494,916)	\$ (363,948)	\$ (470,197)
% of Revenue	1.1%	-2.1%	-4.6%	-3.8%	-4.4%
Revenue	\$ 7,222,398	\$ 8,854,191	\$ 10,824,035	\$ 9,625,074	\$ 10,683,252

Valuation Schedules

Appendix E

Hallmark Management Service, Inc.**Appendix E, Schedule 1****Fair Market Value**

	As of 6/30/2021
Value of 100% of Equity - Before Non-Operating Assets	\$ 1,703,000 [1]
Non-Operating Assets	
Plus: Excess Cash	1,466,949 [2]
Plus: Cash Value of Officers' Life Insurance	3,020 [3]
Total Non-Operating Assets	<u>1,469,969</u>
Value of 100% of Equity - Marketable, Controlling Interest Basis	3,172,969
Subject Interest	<u>50.0%</u>
Pro-Rata Value - Marketable, Controlling Interest Basis Before Adjustments	1,586,485
Less: Discount for Limited Control of 5.0%	<u>(79,324) [4]</u>
Value of a 50.0% Interest on a Marketable, Non-Controlling Interest Basis	1,507,160
Less: Discount for Lack of Marketability of 5.0%	<u>(75,358) [5]</u>
Fair Market Value of a 50% Interest on a Non-Marketable, Non-Controlling Interest Basis (rounded)	<u>\$ 1,431,800</u>

Notes

[1] Source: Appendix E, Schedule 2.

[2] Cash balance as of June 30, 2021 less normalized cash balance of \$500,000.

[3] Based on management interviews.

[4] See report narrative for additional details.

[5] Based on a wide variety of studies examining discounts for lack of marketability as well as the specific facts and circumstances surrounding the Company.

		Projected Fiscal Year Ending June 30,									Residual	
		2022	2023	2024	2025	2026	2027	2028	2029	2030		
[1]	Projected Revenue	\$ 12,381,911	\$ 13,315,184	\$ 14,957,113	\$ 17,115,636	\$ 19,295,925	\$ 21,498,198	\$ 25,222,681	\$ 27,744,949	\$ 29,132,196	\$ 30,006,162	
	<i>Anticipated Growth</i>	<i>15.9%</i>	<i>7.5%</i>	<i>12.3%</i>	<i>14.4%</i>	<i>12.7%</i>	<i>11.4%</i>	<i>17.3%</i>	<i>10.0%</i>	<i>5.0%</i>	<i>3.0%</i>	
[1]	Projected Pre-Tax Income (Adjusted)	37,271	186,223	191,490	217,317	239,799	286,705	480,009	526,510	552,085	568,198	
[2]	Less: Income Taxes	21.0%	(7,827)	(39,107)	(40,213)	(45,637)	(50,358)	(60,208)	(100,802)	(110,567)	(119,322)	
	Net Income		29,444	147,116	151,277	171,681	189,441	226,497	379,207	415,943	448,876	
Cash Flow Adjustments												
[3]	Net Working Capital Requirements		25,079	37,331	65,677	86,341	87,212	88,091	148,979	100,891	55,490	
[4]	Net Change in Advances		(99,961)	(104,959)	(110,207)	(115,717)	(121,503)	(127,578)	(133,957)	(140,655)	(147,687)	
[4]	Net Change in Debt		99,961	104,959	110,207	115,717	121,503	127,578	133,957	140,655	147,687	
[5]	Depreciation		15,000	15,000	15,000	15,000	15,000	15,000	15,000	15,000	15,000	
[5]	Capital Expenditures		(15,000)	(15,000)	(15,000)	(15,000)	(15,000)	(15,000)	(15,000)	(15,000)	(15,000)	
	Total Cash Flow Adjustments		25,079	37,331	65,677	86,341	87,212	88,091	148,979	100,891	55,490	
	Cash Flow		54,523	184,447	216,954	258,022	276,653	314,588	528,186	516,833	491,637	
	Discounting Period		0.5000	1.5000	2.5000	3.5000	4.5000	5.5000	6.5000	7.5000	8.5000	
[6]	Present Value Interest Factor	20.0%	0.9129	0.7607	0.6339	0.5283	0.4402	0.3669	0.3057	0.2548	0.2123	
	Present Value of Cash Flow		\$ 49,774	\$ 140,309	\$ 137,527	\$ 136,313	\$ 121,783	\$ 115,422	\$ 161,467	\$ 131,689	\$ 104,375	
											↓	
[9]	TEV / EBITDA Multiple										Residual Period Cash Flow	483,835
											WACC Capitalization Rate	17.0%
	FYE 2021 EBITDA	3.5x									Capitalized Residual Cash Flow	2,846,087
	2022 Proj. EBITDA	17.5x									Present Value Interest Factor	0.2123
	2023 Proj. EBITDA	5.7x										
											Present Value of Capitalized Residual Cash Flow	604,224
											Plus: Sum of Present Value of Discrete Period Cash Flows	1,098,658
											Indicated Total Equity Value (Rounded)	\$ 1,703,000

Notes

- [1] Source: Appendix E, Schedule 4.
[2] Estimated federal and state income taxes.
[3] Based on the Company's anticipated working capital to net sales relationship of -4.0% which is consistent with historical working capital levels. Net working capital excludes cash, advances and debt.
[4] Source: Appendix E, Schedule 3.
[5] Based on management's projections. In the residual period, depreciation approximates 97.0% of capital expenditures.
[6] The present value interest factor = $1 / ((1 + \text{WACC discount rate})^{\text{discounting period}})$.
[7] Source: Appendix E, Schedule 7.
[8] The capitalized residual cash flow is calculated by dividing the residual cash flow by the WACC capitalization rate.
[9] TEV = Total enterprise value.

Hallmark Management Service, Inc.

Appendix E, Schedule 3

Project Advances

		Projected Fiscal Year Ending June 30,									Residual
		2022	2023	2024	2025	2026	2027	2028	2029	2030	
<u>Cash Rollforward</u>											
[1] Beginning Balance		\$ 500,000	\$ 500,000	\$ 500,000	\$ 500,000	\$ 500,000	\$ 500,000	\$ 500,000	\$ 500,000	\$ 500,000	\$ 500,000
[2] Net Income		\$ 29,444	\$ 147,116	\$ 151,277	\$ 171,681	\$ 189,441	\$ 226,497	\$ 379,207	\$ 415,943	\$ 436,147	\$ 448,876
<u>Cash Flow Adjustments</u>											
[2] Net Working Capital Requirements		25,079	37,331	65,677	86,341	87,212	88,091	148,979	100,891	55,490	34,959
Net Change in Advances		(99,961)	(104,959)	(110,207)	(115,717)	(121,503)	(127,578)	(133,957)	(140,655)	(147,687)	(155,072)
Net Change in Debt		99,961	104,959	110,207	115,717	121,503	127,578	133,957	140,655	147,687	155,072
[2] Depreciation		15,000	15,000	15,000	15,000	15,000	15,000	15,000	15,000	15,000	15,000
[2] Capital Expenditures		(15,000)	(15,000)	(15,000)	(15,000)	(15,000)	(15,000)	(15,000)	(15,000)	(15,000)	(15,000)
Total Cash Flow Adjustments		25,079	37,331	65,677	86,341	87,212	88,091	148,979	100,891	55,490	34,959
Ending Balance Before Distribution		554,523	684,447	716,954	758,022	776,653	814,588	1,028,186	1,016,833	991,637	983,835
Distribution		(54,523)	(184,447)	(216,954)	(258,022)	(276,653)	(314,588)	(528,186)	(516,833)	(491,637)	(483,835)
Ending Balance		500,000	500,000	500,000	500,000	500,000	500,000	500,000	500,000	500,000	500,000
<u>Advances</u>											
[3] Beginning Balance		\$ 1,999,211	\$ 2,099,172	\$ 2,204,130	\$ 2,314,337	\$ 2,430,053	\$ 2,551,556	\$ 2,679,134	\$ 2,813,091	\$ 2,953,745	\$ 3,101,432
[4] Advances Made		599,763	629,751	661,239	694,301	729,016	765,467	803,740	843,927	886,124	930,430
[4] Advanced Received		(499,803)	(524,793)	(551,033)	(578,584)	(607,513)	(637,889)	(669,783)	(703,273)	(738,436)	(775,358)
Net Change in Advances		99,961	104,959	110,207	115,717	121,503	127,578	133,957	140,655	147,687	155,072
Ending Balance		2,099,172	2,204,130	2,314,337	2,430,053	2,551,556	2,679,134	2,813,091	2,953,745	3,101,432	3,256,504
<u>Debt</u>											
Beginning Balance		\$ 1,529,481	\$ 1,629,442	\$ 1,734,400	\$ 1,844,607	\$ 1,960,323	\$ 2,081,826	\$ 2,209,404	\$ 2,343,361	\$ 2,484,015	\$ 2,631,702
Net Change in Debt		99,961	104,959	110,207	115,717	121,503	127,578	133,957	140,655	147,687	155,072
Net Change in Advances		99,961	104,959	110,207	115,717	121,503	127,578	133,957	140,655	147,687	155,072
Ending Balance		1,629,442	1,734,400	1,844,607	1,960,323	2,081,826	2,209,404	2,343,361	2,484,015	2,631,702	2,786,774
<u>Interest Expense</u>											
Average Debt Balance		\$ 1,579,461	\$ 1,681,921	\$ 1,789,503	\$ 1,902,465	\$ 2,021,075	\$ 2,145,615	\$ 2,276,382	\$ 2,413,688	\$ 2,557,859	\$ 2,709,238
[5] Interest Expense at 5.0%		78,973	84,096	89,475	95,123	101,054	107,281	113,819	120,684	127,893	135,462

Notes

[1] Beginning cash balance based on historical norms.

[2] Source: Appendix E, Schedule 2.

[3] Starting project advances balance based on actual current and long-term portion as of June 30, 2021. In subsequent years, net project advances made are added to the existing project advances.

[4] Based on an analysis of historical project advances made and received as a percent of total project advances.

[5] Interest expense estimated based on the annual average debt balance and an interest rate of 5.0%.

Hallmark Management Service, Inc.

Appendix E, Schedule 4

Projected Earnings Before Interest and Taxes ("EBIT") [1]

	Projected Fiscal Year Ending June 30,									
	2022	2023	2024	2025	2026	2027	2028	2029	2030	Residual
Net Revenue	\$ 12,381,911	\$ 13,315,184	\$ 14,957,113	\$ 17,115,636	\$ 19,295,925	\$ 21,498,198	\$ 25,222,681	\$ 27,744,949	\$ 29,132,196	\$ 30,006,162
<i>Annual Growth</i>	<i>15.9%</i>	<i>7.5%</i>	<i>12.3%</i>	<i>14.4%</i>	<i>12.7%</i>	<i>11.4%</i>	<i>17.3%</i>	<i>10.0%</i>	<i>5.0%</i>	<i>3.0%</i>
Expenses	12,359,641	13,143,960	14,780,623	16,913,319	19,071,125	21,226,494	24,757,672	27,233,439	28,595,111	29,452,965
Company Profit Before Taxes	22,271	171,223	176,490	202,317	224,799	271,705	465,009	511,510	537,085	553,198
[2] Plus: Interest Expense	20,000	20,000	20,000	20,000	20,000	20,000	20,000	22,000	23,100	23,793
EBIT	42,271	191,223	196,490	222,317	244,799	291,705	485,009	533,510	560,185	576,991
Plus: Depreciation	15,000	15,000	15,000	15,000	15,000	15,000	15,000	15,000	15,000	15,000
EBITDA	<u>\$ 57,271</u>	<u>\$ 206,223</u>	<u>\$ 211,490</u>	<u>\$ 237,317</u>	<u>\$ 259,799</u>	<u>\$ 306,705</u>	<u>\$ 500,009</u>	<u>\$ 548,510</u>	<u>\$ 575,185</u>	<u>\$ 591,991</u>
Normalization Adjustments:										
Plus: Officers' Life Insurance Expense	15,000	15,000	15,000	15,000	15,000	15,000	15,000	15,000	15,000	15,000
Adjusted Company Profit Before Taxes	<u>\$ 37,271</u>	<u>\$ 186,223</u>	<u>\$ 191,490</u>	<u>\$ 217,317</u>	<u>\$ 239,799</u>	<u>\$ 286,705</u>	<u>\$ 480,009</u>	<u>\$ 526,510</u>	<u>\$ 552,085</u>	<u>\$ 568,198</u>
Capital Expenditures	\$ 15,000	\$ 15,000	\$ 15,000	\$ 15,000	\$ 15,000	\$ 15,000	\$ 15,000	\$ 15,000	\$ 15,000	\$ 15,000
Net Working Capital	\$ (495,276)	\$ (532,607)	\$ (598,285)	\$ (684,625)	\$ (771,837)	\$ (859,928)	\$ (1,008,907)	\$ (1,109,798)	\$ (1,165,288)	\$ (1,200,246)
<i>% of Revenue</i>	<i>(4.0%)</i>	<i>(4.0%)</i>	<i>(4.0%)</i>	<i>(4.0%)</i>	<i>(4.0%)</i>	<i>(4.0%)</i>	<i>(4.0%)</i>	<i>(4.0%)</i>	<i>(4.0%)</i>	<i>(4.0%)</i>

Notes

[1] Source: Projections provided by management for the fiscal years ending June 30, 2022 through 2028. Projections for subsequent years based on implied margins and growth rates.

[2] Source: Appendix E, Schedule 3.

Hallmark Management Service, Inc.

Appendix E, Schedule 5

Common Sized Projected Earnings Before Interest and Taxes ("EBIT")

	Projected Fiscal Year Ending June 30,									Residual
	2022	2023	2024	2025	2026	2027	2028	2029	2030	
Net Revenue	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Expenses	99.8%	98.7%	98.8%	98.8%	98.8%	98.7%	98.2%	98.2%	98.2%	98.2%
Company Profit Before Taxes	0.2%	1.3%	1.2%	1.2%	1.2%	1.3%	1.8%	1.8%	1.8%	1.8%
Plus: Interest Expense	0.2%	0.2%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%
EBIT	0.3%	1.4%	1.3%	1.3%	1.3%	1.4%	1.9%	1.9%	1.9%	1.9%
Plus: Depreciation	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.0%
EBITDA	0.5%	1.5%	1.4%	1.4%	1.3%	1.4%	2.0%	2.0%	2.0%	2.0%
Normalization Adjustments:										
Plus: Officers' Life Insurance Expense	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.0%
Adjusted Company Profit Before Taxes	0.3%	1.4%	1.3%	1.3%	1.2%	1.3%	1.9%	1.9%	1.9%	1.9%

Equity Discount Rate and Cash Flow Multiple

[1] Risk-Free Rate	A	2.0%
[2] Equity Risk Premium	B	6.0%
[3] Micro-Capitalization Size Premium	C	5.0%
[4] Company Specific Risk Premium	D	<u>7.0%</u>
Equity Discount Rate (rounded)	E = A+B+C+D	<u><u>20.0%</u></u>
Less: Expected Sustainable Long-Term Growth Rate		<u>(3.0%)</u>
Equity Capitalization Rate		<u><u>17.0%</u></u>

Notes

-
- [1] Yield on 20-Year Treasury Bonds obtained from the Standard & Poor's Capital IQ Database as of June 30, 2021.
- [2] Duff & Phelps Cost of Capital Navigator. Equity Risk Premium (Supply-Side).
- [3] Duff & Phelps Cost of Capital Navigator. Size premium for the 10th decile.
- [4] Based on numerous Company specific factors including nature of contracts and risks of achieving projected results.

Hallmark Management Service, Inc.

Appendix E, Schedule 7

Calculation of WACC Discount Rate

Cost of Equity			Weighted Average Cost of Capital ("WACC")			
[1] Risk-Free Rate	A	2.0%		Capital Structure [6]	Cost	Weighted Cost
[2] Equity Risk Premium	B	6.0%	Equity	100.0% x	20.0%	= 20.0%
[3] Size Premium	C	5.0%	Debt	- % x	2.6%	= - %
[4] Company Specific Risk Premium	D	7.0%	WACC Discount Rate (rounded)			20.0%
Cost of Equity (rounded)	E = A+B+C+D	20.0%	Less: Expected Sustainable Long-Term Growth Rate			(3.0%)
Cost of Debt			WACC Capitalization Rate (rounded)			
[5] Cost of Debt	F	3.3%				
Tax Rate	G	21.0%				
After-Tax Cost of Debt (rounded)	H = F*(1-G)	2.6%				

Notes

[1] Yield on 20-Year Treasury Bonds obtained from the Standard & Poor's Capital IQ Database as of June 30, 2021.

[2] Duff & Phelps Cost of Capital Navigator. Supply side equity risk premium.

[3] Duff & Phelps Cost of Capital Navigator. Size premium for the 10th decile.

[4] Based on numerous Company specific factors including nature of contracts and risks of achieving projected results.

[5] The cost of debt was based on the Baa bond rate obtained from the Standard & Poor's Capital IQ Database as of June 30, 2021.

[6] The selected capital structure considered the Company's historical and anticipated long-term capital structure.